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China Autos & Shared Mobility | Asia Pacific

AI, Global, Premium - Step In or Step Aside

We mark to market our auto-major forecasts to reflect YTD sales trends and 1Q results. Product homogenization laid bare at the Beijing Auto Show underscores the need for differentiation. Execution is now shifting toward AI, globalization, and brand upgrade, which have become key strategic priorities.

Why now? April sales continue to reveal a widening gap between YTD run rates and auto majors' full-year targets. While 1Q GPM came in better than feared, operating de-leverage and FX headwinds persist. Overseas growth holds up, but domestic demand shows clear cracks amid intensifying competition.

What's next? After a solid run in April, China autos sentiment has turned more subdued as moderate seasonal recovery and sector rotation kept conviction thin. Earnings expectations, however, have been meaningfully reset. New launches combined with easing YoY comparisons should help the auto sector regain investor traction in mid-3Q, with AD-focused names potentially seeing valuation re-ratings.

The Beijing Auto Show suggested that the anti-involution campaign may risk prolonging the involution they aim to curb, as faster and more aggressive rollout of a slew of look-alike models increasingly saturate the market. On the bright side, EV majors are accelerating reinvention and investments across four fronts:

1. **Overseas:** Global expansion remains the primary growth driver. We lift our 2026 export growth forecast to 33% YoY (from 22%), with NEV exports +88% YoY to 4.5m units, offsetting softer domestic demand.
2. **Technology & AI:** Competition is pivoting from price to value. L2+ penetration is expected to reach 32% in 2026 (vs. 25% in 2025), while L3/L4 moves from concept to commercialization.
3. **Mix upgrade:** Demand continues to gravitate toward premium and mid-to-large SUVs, with the Rmb200–300k+ segment up 2–3ppt YoY in 1Q26.
4. **To-B opportunities:** Deeper OEM partnerships and in-house technologies commercialization (e.g., XPeng/VW, NIO) are gaining genuine traction.

Stock view: Our updated estimates reflect the latest sales trajectory and company guidance. We prefer quality players such as XPeng (XPEV.N), Voyah (7489.HK), and SAIC (600104.SS) for re-rating opportunities, where pessimism bias, 2H26 launches, overseas exposure could offer stronger downside protection. We remain positive on NIO (NIO.N) and Geely (175.HK), although 15%+ YTD rally for both vs. HSI +3% could magnify near-term debates. While we remain constructive on BYD's (1211.HK) global expansion and order gains, upside would heavily hinge on domestic sales, with 2nd gen blade battery capacity ramp-up likely contributing to near-term volatility. Expectations for Li Auto's (LI.O) L9 appear low, suggesting potential upside.

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CHINA AUTOS & SHARED MOBILITY

Asia Pacific

Industry View

In-Line

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What's Changed?

Exhibit 1: Summary of PT Changes

Company	Ticker	Rating	Old PT	New PT
XPeng	XPEV.N	OW	US\$34	US\$25
XPeng	9868.HK	OW	HK\$131	HK\$96
Li Auto	LI.O	OW	US\$22	US\$21.5
Li Auto	2015.HK	OW	HK\$86	HK\$83
NIO	NIO.N	OW	US\$7	US\$7.4
NIO	9866.HK	OW	HK\$54	HK\$58
BYD	1211.HK	OW	HK\$126	HK\$121
BYD	002594.SZ	OW	RMB 125	RMB 120
GWM	2333.HK	EW	HK\$15	HK\$12
GWM	601633.SS	UW	RMB 17	RMB 14

Source: Morgan Stanley Research

Stock calls and more thoughts

China OEMs' shares saw increased dispersion ranging from gains of 25%+ to declines of 35%+ YTD.

In our view, this reflects a mix of low- to mid-teens sector correction on cyclical concerns, alongside widening divergence driven by stronger order momentum and robust overseas sales, which bode well for ASP and GPM. We also see management guidance at the start of the year as somewhat clouded by limited demand visibility and an uncertain competitive landscape, both assuming that the macro backdrop does not deteriorate further. We see downside risk to 2Q volume sales, but expect easier base effects from 3Q to support another round of trading opportunities.

We share our thoughts on a few key topics among investors:

Positioning: Despite numerous model launches following the Beijing Auto Show in late April, investor conviction in China autos remains subdued, with most investors either having no exposure or inclined to sell into rallies, as domestic demand remains weak and cost inflation continues to weigh on both OEM volume and margins.

Volume: Based on our observations, the surge in new model launches has reinforced consumer hesitation rather than catalyzing demand. China's auto industry is on track for a record year of product launches and technological upgrades, especially for key players like BYD, Geely, HIMA, XPeng, NIO, and Leapmotor. However, the breadth of choices has entrenched a "wait-and-see" mindset, with many buyers deferring purchases in anticipation of better pricing, refreshed models, or the renewal of local trade-in subsidies. This dynamic is further compounded by subdued Chinese consumer confidence and a softer domestic consumption outlook for 2026.

Pricing: We believe the government's latest anti-involution guidelines — aimed at curbing steep OEM retail discounts and financing promotions — alongside announced price hikes by several OEMs due to raw material cost inflation, could risk further dampening domestic demand recovery. However, it is worth monitoring whether rising consumer expectations of future price increases could prompt early order lock-ins.

R&D: Most OEMs under coverage have guided for double-digit YoY R&D spending growth in 2026, driven by increased investment in AI, computing power, and autonomous driving. While this could risk operating de-leverage near-term if R&D growth outpaces vehicle sales volume, we think the key debate is whether it ultimately converts into meaningful non-vehicle revenue streams (e.g., physical AI) and stronger AD-driven sales over the long run.

Overseas: Exports are set to remain a key profit driver for China OEMs in 2026, in our view, as domestic volume and margin pressures persist. We forecast PV exports to grow 33% and NEV exports to nearly double YoY, as OEMs like BYD, Geely, SAIC, XPeng, and Leapmotor continue to gain share overseas. Based on our estimates and OEM guidance, overseas unit profitability may be 5–10x higher than domestic.

What's changed? We revise our forecasts for key EV players to reflect: 1) a slower-than-expected demand recovery after a soft 1Q26; 2) a higher export mix as domestic demand wanes; 3) higher non-vehicle sales growth; 4) idiosyncratic GPM adjustments as scale headwinds and greater cost inflation pass-through from would be somewhat mitigated by

favorable mix of new launches and, to a greater extent, overseas sales; 5) higher R&D expenses as OEMs race to become leading AD players; and 6) higher SG&A from overseas expansion. We believe OEMs with scale, a more premium/overseas sales mix, strong supply chain bargaining power, and AD tech advantages are best positioned in a weaker domestic market. [More details from our Beijing Auto Show Takeaways.](#)

Upcoming model launches and catalysts to watch. 2Q26 features a dense product launch calendar, which could catalyze a more meaningful demand recovery in 2H26 across both mass-market and premium segments. Most notably, BYD's upcoming Tech Day in May could showcase its next-generation autonomous driving capabilities and new model launches, while its updated pricing strategy could also come under investor scrutiny.

OW EV startups, Geely, BYD, SAIC, Voyah; EW GWM-H

XPeng (XPEV.N/9868.HK): Despite underperforming YTD (-24% vs. HSI +2%), weighed by a sluggish start to vehicle sales, we are optimistic that GX and the upcoming Mona L03 are set to revitalize sales momentum from 2H onwards. We remain hopeful that a potential rebound in sales could lay a compelling groundwork for the market to reassess XPeng's physical AI promise – from robotaxis to humanoids. Its deepening partnership with Volkswagen should also some support to margins and limit downside risk.

Li Auto (LI.O/2015.HK): While we remain mindful of cyclical and competitive risks, we believe upcoming upgrades to the L9 and the i9 launch in 2H could lift the monthly average run rate back toward ~40k units, in line with mid-range 2024–25 levels. We continue to view Li Auto as a measured-risk but potentially high-reward opportunity, supported by low expectations, a substantial discount to cash value, operational agility, and a clear commitment to pivoting toward physical AI. Key risks remain execution and product differentiation in the high-end family segment, as well as the ability to attract and retain top AI talent. Its [ongoing share buyback program](#) could also serve as a key share price support.

NIO (NIO.N/9866.HK): Given the stock has rallied 17% YTD (vs. HSI +2%), we see potential for near-term profit-taking. That said, we stay optimistic that a steady 1Q print and upcoming ES9/L80 launches in May could help sustain momentum through 2Q. Building on the success of the ES8 last year, NIO aims to replicate that momentum with the upcoming ES9 launch, which would serve as a critical catalyst for volume growth and margin expansion from 2H onwards, and a key step toward achieving the company's full-year profitability breakeven target, in our view.

Geely (175.HK): 25%+ YTD rally (vs. HSI's +2%) may prompt near-term profit-taking, but we expect Geely's unit profit to continue trending higher into 2Q and 2H26, supported by 1) overseas upside, 2) robust ZEEKR order backlog, 3) iHEV rollout, and 4) a solid Galaxy model pipeline. 10x 26e P/E and high-end/overseas progression anchor a compelling risk-reward. To revisit its previous high of HK\$25.6, we believe the market needs to see further progress toward Geely's 750k overseas target and additional blockbuster models, like Starwish last year, to advance Galaxy sales in China.

BYD (1211.HK/002594.SZ): We expect capacity bottleneck for its 2nd gen blade battery to largely alleviate by summer 2026. By then, new models—including Great Tang, Sealion 08, Han EV, and FQB Tai 7—should play a more meaningful role in driving domestic

volume recovery. Meanwhile, we remain positive on BYD's overseas progress, as it continues to gain share in key markets in LaTAM, ASEAN, and Europe. All eyes are closely monitoring its upcoming Tech Day in May, where the company shall unveil its latest smart driving technology and strategy following its latest price hike to "God's Eye" models.

SAIC (600104.SS): We are Overweight on SAIC for its sales recovery trend. Despite uncertainties around domestic demand and global geopolitical tension, we see scope for profitability improvement, underpinned by the company's extensive integration across the auto value chain. ([See our report.](#))

Voyah (7489.HK): We like Voyah given its continuous products rollout in 2026 to sustain sales growth momentum, and we see the current valuation discount of Voyah vs. peers as offering an attractive risk-reward profile, with sales growth potentials this year. ([See our report.](#))

GWM (2333.HK/601633.SS): We believe volume upside in 2026 will largely hinge on new models launches under the Tank and WEY brands, while export momentum will stay crucial to GWM's profit margins. We remain positive on GWM's overseas share gains in LatAm and ASEAN, although potential volume/profitability downside in Russia following the scrappage tax hike and volatility in tax rebates, may continue to weigh on overseas margins. Meanwhile, we think that higher bill-of-materials (BoM) cost from AD adoption could also impact domestic margins negatively. Hence, we stay Equal-weight on its H-share and Underweight on its A-share.

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Order of Preference

Exhibit 2: China OEM Order of Preference

	Xpeng - ADS XPENG.HK	Voyah 7480.HK	SAC 600155.SS	GAC-H 2723.HK	NIO - ADS NIO.HK	Geely B793.HK	Li Auto - ADS LI.D	BYD - H 1211.HK	BYD - A 002593.SZ	Changan A 000523.SZ	BAC 1058.HK	GWM-H 2331.HK	JAC 600418.SS	GWM A 601633.SS	GAC A 601238.SS
Rating	Overweight	Overweight	Overweight	Overweight	Overweight	Overweight	Overweight	Overweight	Overweight	Equal Weight	Equal Weight	Equal Weight	Equal Weight	Underweight	Underweight
Trading Currency	USD	HKD	CNY	HKD	USD	HKD	CNY	HKD	CNY	CNY	HKD	HKD	CNY	CNY	CNY
Price Target	25.00	8.10	22.50	3.90	7.40	28.00	21.50	121.00	120.00	12.60	2.16	12.00	47.40	14.00	4.00
Current Price	15.93	5.89	13.59	2.78	5.90	22.70	17.72	100.70	100.46	9.36	1.37	12.25	49.51	19.85	6.99
Upside(Downside) (%)	57%	38%	66%	40%	25%	23%	21%	20%	19%	35%	58%	-2%	-4%	-29%	-43%
Market Cap (in USD mm)	15,165.3	2,766.7	22,796.1	8,494.1	27,112.3	29,263.8	17,853.5	124,577.6	124,577.6	13,628.8	1,401.7	22,413.8	15,875.8	22,413.8	8,494.1
Avg Daily Traded Vol (in USD mm)	29.7	11.0	137.7	10.3	43.0	163.2	95.6	484.0	977.8	140.7	3.6	35.4	395.6	57.8	38.7
Street View: Ratings															
Buy/Overweight	71%	0%	54%	59%	66%	95%	47%	95%	93%	67%	0%	73%	0%	51%	0%
Hold/Equal-weight	23%	0%	31%	31%	31%	5%	44%	9%	4%	25%	50%	27%	0%	13%	0%
Sell/Underweight	6%	0%	15%	10%	3%	0%	8%	1%	1%	8%	50%	0%	0%	3%	0%
Buy Case Value	40.00	11.10	29.20	6.60	14.00	47.00	30.00	210.00	209.00	16.70	3.62	22.00	73.50	30.00	13.80
Upside (%)	151%	88%	119%	137%	137%	107%	69%	109%	108%	78%	164%	80%	48%	51%	97%
Bear Case Value	10.00	3.90	11.40	1.50	2.70	9.00	7.00	49.00	46.00	6.30	1.30	4.00	19.00	5.00	1.50
Downside (%)	-37%	-34%	-16%	-46%	-54%	-60%	-60%	-51%	-54%	-33%	-5%	-67%	-62%	-76%	-79%
Risk/Reward Shew	4.1	2.8	7.1	3.9	2.9	1.8	1.1	2.1	2.0	2.4	32.1	1.2	0.8	0.7	1.2
Morgan Stanley Estimates															
FY26e	CNY	CNY	CNY	CNY	CNY	CNY	CNY	CNY	CNY	CNY	CNY	CNY	CNY	CNY	CNY
Sales	85,793	55,445	704,276	106,886	126,580	421,679	135,096	912,565	912,565	179,020	168,884	227,808	76,186	227,808	106,886
EBITDA	(1,220)	2,415	26,246	4,591	2,615	30,801	(534)	135,318	135,318	11,685	23,445	19,958	4,486	19,958	4,591
EBIT	(4,754)	220	5,123	(5,029)	(3,981)	24,825	(934)	48,982	48,982	5,262	14,742	7,429	2,592	7,429	(5,029)
EPS	(3.84)	0.43	1.46	0.11	(1.45)	2.28	0.36	4.21	4.21	0.57	0.23	1.12	0.34	1.12	0.11
FY27e															
Sales	108,010	73,905	743,287	121,023	156,629	464,915	166,194	999,719	999,719	193,725	173,529	232,698	99,241	232,698	121,023
EBITDA	1,809	3,313	35,456	6,752	6,003	34,267	5,886	164,665	164,665	13,711	24,550	12,575	6,986	22,575	6,752
EBIT	(2,600)	1,062	16,919	(2,695)	(208)	28,359	5,896	61,514	61,514	7,462	15,847	8,716	5,224	8,716	(2,695)
EPS	(1.02)	0.52	1.94	0.39	0.35	2.59	6.63	5.42	5.42	0.70	0.34	1.25	1.90	1.25	0.39
FY28 Mse vs. Consensus Mean															
Sales	-9.8%	15.0%	2.0%	-1.1%	-3.3%	0.5%	3.2%	-2.1%	-3.0%	-8.4%	1.3%	-10.2%	-3.0%	-11.1%	-1.0%
EBITDA	-188.0%	15.0%	-25.4%	-47.3%	-32.8%	-13.8%	-119.5%	8.0%	7.8%	15.5%	24.0%	-6.7%	47.3%	-7.3%	34.9%
EBIT	137.0%	15.0%	-32.4%	-25.9%	93.9%	9.8%	-1190.5%	1.1%	4.2%	17.5%	47.7%	-39.8%	205.2%	-36.2%	-29.8%
EPS	537.2%	14.4%	36.0%	-227.3%	24.2%	16.6%	-17.0%	-6.2%	-9.7%	7.7%	124.4%	-18.7%	99.1%	-22.4%	-160.6%
FY27 Mse vs. Consensus Mean															
Sales	-8.5%	15.0%	3.5%	-0.3%	-5.8%	-3.5%	3.3%	-4.0%	-4.0%	-8.0%	-6.8%	-18.7%	7.0%	-20.1%	2.7%
EBITDA	-57.2%	15.0%	-8.5%	11.7%	-21.8%	16.5%	-42.0%	10.6%	12.7%	21.9%	17.8%	-3.2%	10.3%	-7.4%	32.0%
EBIT	-288.7%	15.0%	-1.7%	-45.9%	-112.2%	4.1%	-3.0%	4.0%	6.1%	52.8%	35.7%	-38.0%	40.2%	-37.3%	-44.4%
EPS	-146.2%	14.7%	55.1%	2667.0%	-17.0%	10.2%	27.6%	-5.0%	-7.5%	9.7%	561.6%	-22.0%	19.7%	-27.0%	868.4%
Valuation Multiples at Last Close															
P/E	-28.2x	12.0x	9.3x	21.1x	-27.7x	8.7x	125.5x	20.8x	23.9x	16.6x	5.2x	9.5x	58.9x	17.7x	61.0x
EV/EBIT	-20.7x	41.9x	10.5x	-10.0x	-42.5x	5.3x	-131.5x	18.3x	18.3x	4.5x	0.4x	14.8x	34.9x	14.8x	-10.0x
EV/EBITDA	-80.3x	4.5x	3.7x	10.3x	64.4x	4.3x	-131.5x	6.5x	6.5x	2.0x	0.2x	5.5x	20.2x	5.5x	10.3x
EV/Sales	1.1x	0.2x	0.1x	0.3x	1.3x	0.3x	0.5x	1.0x	1.0x	0.1x	0.0x	0.5x	1.2x	0.5x	0.3x
FCF Yield	-3.2%	25.0%	8.0%	-16.8%	7.2%	14.4%	3.5%	2.3%	2.3%	8.6%	97.7%	6.8%	12.3%	6.8%	-16.8%
FY27e															
P/E	-108.8x	9.9x	7.0x	6.2x	114.7x	7.6x	18.2x	16.2x	18.5x	13.9x	3.5x	8.5x	26.0x	15.9x	18.0x
EV/EBIT	-47.7x	5.1x	4.8x	-15.8x	-245.2x	3.7x	9.6x	14.2x	14.2x	2.8x	0.2x	11.1x	15.3x	11.1x	-15.8x
EV/EBITDA	52.7x	1.6x	2.3x	6.3x	25.8x	3.1x	9.6x	5.3x	5.3x	1.5x	0.1x	4.3x	11.4x	4.3x	6.3x
EV/Sales	0.9x	0.1x	0.1x	0.4x	1.0x	0.2x	0.3x	0.9x	0.9x	0.1x	0.0x	0.4x	0.8x	0.4x	0.4x
FCF Yield	3.0%	20.9%	12.2%	-8.8%	7.3%	14.4%	11.0%	3.6%	3.6%	12.6%	101.0%	8.8%	12.5%	8.8%	-8.8%
Implied Multiples on MS Price Target															
P/E	-40.3x	16.5x	15.6x	29.6x	-32.8x	10.8x	155.8x	26.0x	28.5x	22.3x	8.2x	11.6x	56.4x	12.5x	34.9x
EV/EBIT	-45.2x	72.7x	22.2x	-0.8x	-23.3x	7.2x	-186.6x	10.9x	11.9x	10.6x	0.8x	-0.3x	33.2x	5.6x	-4.2x
EV/EBITDA	-115.8x	6.9x	7.7x	0.7x	35.3x	5.8x	-186.6x	3.9x	4.2x	4.8x	0.5x	-0.1x	19.2x	2.1x	4.8x
EV/Sales	2.5x	0.3x	0.3x	0.5x	0.7x	0.4x	0.7x	0.6x	0.6x	0.3x	0.1x	0.0x	1.1x	0.2x	0.2x
FY27e															
P/E	-227.9x	13.6x	11.8x	8.8x	136.0x	9.4x	22.6x	20.2x	22.1x	18.1x	5.5x	10.4x	24.9x	11.2x	10.3x
EV/EBIT	-117.9x	27.0x	18.8x	-7.2x	-691.6x	9.7x	28.7x	10.1x	10.8x	18.6x	1.0x	7.2x	22.9x	12.3x	-13.8x
EV/EBITDA	130.3x	8.7x	8.9x	2.3x	22.6x	8.9x	28.7x	3.8x	4.1x	10.1x	0.7x	2.8x	17.1x	4.7x	5.5x
EV/Sales	2.2x	0.4x	0.4x	0.2x	0.9x	0.6x	1.0x	0.6x	0.7x	0.7x	0.1x	0.3x	1.2x	0.5x	0.3x
Stock Price Performance															
1 Month	(8.4%)	3.9%	(2.5%)	(14.5%)	(5.4%)	(4.7%)	(4.0%)	(5.7%)	2.5%	(6.2%)	(14.4%)	(8.4%)	7.6%	(4.2%)	(1.5%)
3 Month	(10.1%)	(9.5%)	(6.0%)	(25.5%)	17.1%	39.2%	(6.6%)	9.1%	11.8%	(16.4%)	(24.5%)	(7.5%)	(6.1%)	(2.5%)	(11.5%)
1 Year	(19.3%)	(9.5%)	(17.5%)	0.0%	50.5%	35.6%	(31.0%)	(21.5%)	(16.1%)	(24.6%)	(31.2%)	4.5%	36.8%	(14.7%)	(13.5%)
YTD	(21.4%)	#VALUE!	(10.7%)	(32.0%)	15.7%	26.8%	4.7%	5.6%	2.8%	(21.1%)	(29.0%)	(19.9%)	9.0%	(12.3%)	(14.3%)

Source: Morgan Stanley Research, Thomson Reuters (consensus mean). # = Morgan Stanley Research estimates

Note: Past performance is no guarantee of future results. Results shown do not include transaction costs.

Source: Factset, Morgan Stanley Research estimates. Note: Past performance is no guarantee of future results. Results shown do not include transaction costs; Closing prices as of May 7, 2026.

XPeng (XPEV.N/9868.HK); OW

Estimate Changes

We lower our 2026-28 volume estimates by 8-16% to 462k/596k/666k units to reflect subdued domestic demand in 1H26 and intensifying competition among EV players. Our 2026-28 revenue forecast falls by 10-16% accordingly.

Our 2026-28 vehicle margin estimates remain largely unchanged, while our 2026-28 group GPM estimates go up by 0.1-0.5pt to 18.9%/19.1%/19.1% given a lower vehicle sales mix.

We tweak up our 2026 R&D forecast to Rmb12.4bn (from Rmb12bn), reflecting higher investments in AI computing power, autonomous driving, and other physical AI initiatives. We also look for higher SG&A expenses in 2026-28 to support overseas expansion.

We now expect XPeng to stay loss-making in 2026 and 2027 with Rmb3.7bn and Rmb1.0bn net losses, respectively. We look for XPeng to turn net profit breakeven in 2028 with Rmb202mn profit. Our 2026-28 net loss/profit per share estimates fall by a similar magnitude.

Exhibit 3: XPeng: estimate revisions

XPeng (9868.HK;XPEV.N) (Rmb m)	Old			New			Change (%)		
	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
Sales volume (units)	553,384	653,566	725,380	462,114	595,508	665,805	-16%	-9%	-8%
Revenue	101,923	120,270	134,951	85,793	108,010	121,618	-16%	-10%	-10%
Gross Profit	19,133	22,381	25,595	16,244	20,598	23,181	-15%	-8%	-9%
Operating Profit	(972)	(14)	1,813	(4,764)	(2,000)	(942)	NA	NA	NA
Net Profit	150	1,107	2,774	(3,658)	(967)	202	NA	NA	NA
EPS (ADR)	0.16	1.16	2.91	(3.84)	(1.02)	0.21	NA	NA	NA
EPS (H-shares)	0.08	0.58	1.46	(1.92)	(0.51)	0.11	NA	NA	NA
Margins (%)									
Gross Margin	18.8%	18.6%	19.0%	18.9%	19.1%	19.1%	0.2pt	0.5pt	0.1pt
Operating Margin	-1.0%	0.0%	1.3%	-5.6%	-1.9%	-0.8%	-4.6pt	-1.8pt	-2.1pt
Net Margin	0.1%	0.9%	2.1%	-4.3%	-0.9%	0.2%	-4.4pt	-1.8pt	-1.9pt

Source: Company Data, Morgan Stanley Research. E = Morgan Stanley Research estimates

Valuation Methodology

We continue to use a probability-weighted methodology to value XPeng ADRs to capture its long-term cash flow, where we assign 30%/50%/20% probability to our bull/base/bear case scenarios.

ADR

Base case US\$21 (from US\$29): This implies 1.7x 2026e P/Sales. We expect XPeng to turn profitable in 2028 on the back of greater scale benefits and margin expansion from overseas sales and premium model launches, though higher opex from AI investments and overseas expansion could weigh on profitability near term. We expect technology service revenue from Volkswagen to help support the company's gross margins in the long run. Meanwhile, increasing ADAS adoption rate should provide more visibility on long-term growth potential from a service revenue perspective.

Bull case US\$40 (from US\$54): This implies 3.2x 2026e P/Sales. We use sum-of-the-parts valuation to capture XPeng's long-term value and synergy across its vehicle, AI chip, robotaxi, and humanoid business. More details above.

Bear case US\$10 (from US\$14.5): This implies 0.8x 2026e P/Sales. We assume a 20% volume decline and 3ppt contraction in gross margins from 2026 onward compared with our base case scenario, reflecting more intense-than-expected competition. XPeng's volume share contracts in this scenario.

Our DCF-derived probability-weighted price target lowers by 26% to US\$25, implying 2.0x 2026e P/Sales. Our DCF assumptions are unchanged: WACC of 12.8% and a long-term growth rate assumption of 3%.

XPeng-H

Our price target of HK\$96 is derived from our ADR price target, applying a HKD/USD exchange rate of 7.8. It implies 2.0x 2026E P/Sales. Our scenario values remain unchanged:

Base case HK\$84 (from HK\$113), implying 1.7x 2026E P/Sales.

Bull case HK\$156 (from HK\$211), implying 3.2x 2026E P/Sales.

Bear case HK\$39 (from HK\$57), implying 0.8x 2026E P/Sales.

Exhibit 4: XPeng: DCF valuation

Rmb mn	2024A	2025E	2026E	2027E	2028E	2029E	2030E
Turnover	40,866	76,720	85,313	106,810	119,938	132,488	144,380
YoY%	33%	88%	11%	25%	12%	10%	9%
Pre-tax profit (EBIT)	(5,831)	(1,157)	(3,616)	(956)	200	1,754	3,537
EBIT margin	-16%	-4%	-6%	-2%	-1%	0%	1%
YoY%	-44%	-80%	213%	-74%	-121%	779%	102%
+Depreciation & Amortization	2,573	2,988	3,539	3,808	4,108	4,445	4,826
EBITDA	(3,258)	1,831	(77)	2,852	4,308	6,198	8,364
-Less Adjusted taxes	1,018	792	828	721	820	1,053	1,255
- Capital expenditure	(2,423)	(3,347)	(3,447)	(3,547)	(3,647)	(3,747)	(3,847)
+/- Changes in working capital	(1,694)	5,616	225	3,806	8,784	9,317	9,837
Free cash flow	(6,288)	4,879	(2,514)	3,821	10,267	12,734	15,078
Corporate NPV	122,006						
Minorities	-						
Net (debt)/cash	21,901						
Equity NPV	143,907						
NOSH - ADS	952						
NPV Per share	151.2						
Exchange rate - RMB/USD	7.2						
ADS base case (USD)	21						
Exchange rate - HKD/USD	7.8						
H-share base cas (HKD)	84						

Cost of equity (%)	
Risk free rate (%)	3.0
Beta	1.6
US equity risk premium (%)	4.0
China Equity risk premium (%)	4.0
CAPM unleveraged discount rate	15.6
WACC (%)	12.8

Source: Company Data, Morgan Stanley Research. E = Morgan Stanley Research estimates

Financial Summary

Exhibit 5: XPeng: Financial Summary

Income Statement						Financial Analysis					
(Rmb Mn)	2024	2025	2026E	2027E	2028E		2024	2025	2026E	2027E	2028E
Revenue	40,866	76,720	85,793	108,010	121,618	Growth (%)					
Cost of sales	(35,021)	(62,247)	(69,549)	(87,412)	(98,437)	Revenue	33.2%	87.7%	11.8%	25.9%	12.6%
Gross profit	5,846	14,473	16,244	20,598	23,181	Operating profit (GAAP)	-38.9%	-58.4%	71.9%	-58.0%	-52.9%
R&D expenses	(6,457)	(9,490)	(12,440)	(13,501)	(14,473)	Net profit	-44.2%	-80.3%	221.0%	-73.6%	-120.9%
SG&A expenses	(6,871)	(9,398)	(10,295)	(10,909)	(11,554)	Margins (%)					
Others	823	1,644	1,726	1,813	1,903	Gross Margin	14.3%	18.9%	18.9%	19.1%	19.1%
Operating profit (GAAP)	(6,658)	(2,771)	(4,764)	(2,000)	(942)	Operating Margin	-16.3%	-3.6%	-5.6%	-1.9%	-0.8%
Interest income	1,375	1,163	1,207	1,102	1,199	Net Margin	-14.2%	-1.5%	-4.3%	-0.9%	0.2%
Interest expense	(344)	(380)	(389)	(389)	(389)	Revenue composition					
Other income / (expense)	(203)	831	331	331	331	Vehicle sales - unit	190,068	429,445	462,114	595,508	665,805
Pretax profit	(5,831)	(1,157)	(3,616)	(956)	200	Revenue - vehicle sales	35,829	68,379	76,177	96,201	108,060
Income tax	70	(14)	(42)	(11)	2	Revenue - Other	3,437	4,341	5,175	6,209	7,518
Profit after tax	(5,761)	(1,170)	(3,658)	(967)	202	Revenue mix					
Minority interests	-	-	-	-	-	Revenue - vehicle sales	91.2%	94.0%	93.6%	93.9%	93.5%
Net income	(5,761)	(1,170)	(3,658)	(967)	202	Revenue - software	8.8%	6.0%	6.4%	6.1%	6.5%
Disc. Operational income	-	-	-	-	-	Gearing (x)					
Reported net income	(5,761)	(1,170)	(3,658)	(967)	202	Asset/Equity	2.64	3.40	3.79	4.18	4.58
EPS - ADS (Rmb)	(6.12)	(1.20)	(3.84)	(1.02)	0.21	Total Liabilities/Equity	1.64	2.40	2.79	3.18	3.58
EPS - H (Rmb)	(3.06)	(0.60)	(1.92)	(0.51)	0.11						
Balance Sheet						Cashflow Statement					
(Rmb Mn)	2024	2025	2026E	2027E	2028E	(Rmb Mn)	2024	2025	2026E	2027E	2028E
Non-current assets	32,970	39,909	39,817	39,556	39,095	Cash from operating activities	(2,012)	8,259	105	6,647	13,094
Property and equipment, net	11,522	13,527	13,436	13,174	12,713	Cash from investing activities	(1,255)	(7,334)	(3,447)	(3,547)	(3,647)
Intangible assets, net	4,610	4,253	4,253	4,253	4,253	Cash from financing activities	669	515	-	-	-
Long-term investments	7,940	8,255	8,255	8,255	8,255	Exchange difference	-	-	-	-	-
Other non-current assets	8,898	13,873	13,873	13,873	13,873	Increase in cash and equivalents	(2,598)	1,439	(3,342)	3,100	9,447
Current assets	49,736	63,254	61,366	68,023	79,663	Cash BOP	24,302	21,740	23,401	20,059	23,160
Cash and cash equivalents	35,533	38,304	34,962	38,062	47,509	Cash EOP	21,704	23,178	20,059	23,160	32,607
Inventory	5,563	10,381	11,598	14,577	16,416						
Other current assets	8,640	14,570	14,806	15,384	15,738						
Current liabilities	39,865	58,113	55,248	56,873	61,403						
Short-term borrowings	4,609	4,282	4,282	4,282	4,282						
Trade payable	23,080	37,163	34,298	35,923	40,454						
Taxes payable	-	-	-	-	-						
Other current liabilities	12,175	16,668	16,668	16,668	16,668						
Non-current liabilities	11,866	14,681	19,225	24,963	31,409						
Long-term borrowings	5,665	6,589	6,589	6,589	6,589						
Other non-current liabilities	5,902	8,092	12,636	18,374	24,820						
Equity	31,275	30,369	26,711	25,743	25,945						
Convertible preferred stock	-	-	-	-	-						
Common Stock	70,672	71,236	71,236	71,236	71,236						
Accumulated deficit	(41,491)	(42,630)	(46,288)	(47,255)	(47,053)						
Others	2,094	1,762	1,762	1,762	1,762						
Minority interests	-	-	-	-	-						

Source: Company Data, Morgan Stanley Research. E = Morgan Stanley Research estimates

Risk Reward – XPeng Inc. (XPEV.N)

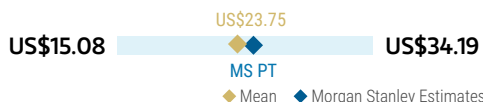
Irons in the fire - AI Turing chip, humanoids, and robotaxis

PRICE TARGET US\$25.00

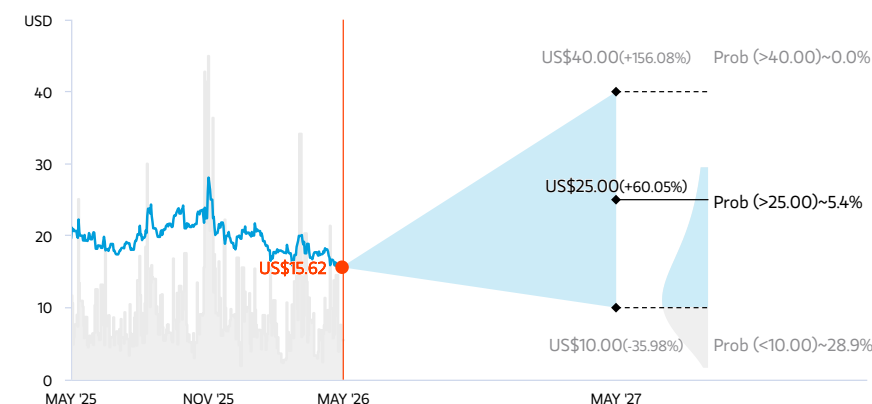
Probability-weighted DCF methodology. Weightings for our bull/base/bear case scenarios are 30%/50%/20% - the bull/bear weighting reflects the potential for valuation re-rating from non-vehicle business/the macro outlook to weaken and sector competition to worsen. Key base case assumptions: 3% terminal growth rate, 1.6x beta, 12.8% WACC.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



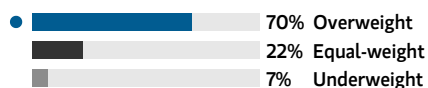
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 8 May 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

OVERWEIGHT THESIS

- With a robust new model pipeline, we expect XPeng's monthly sales to take off from 2H26 and further expand in 2027, underpinned by its super electric hybrid system and L4 rollout.
- More meaningful margin improvement should materialize from 2026, when the scale benefits of new models fully kick in.
- We see increasing value in XPeng's new initiatives in AI Turing chip, humanoids, and robotaxis, which should unlock potential valuation upside as they enter mass rollout in 2026.

Consensus Rating Distribution



MS Rating

Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Electric Vehicles:	Positive
Pricing Power:	Negative
Secular Growth:	Positive

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

US\$40.00

3.2x 2026E P/Sales

Acceleration in sales volume ramp-up and rapid rollout of new initiatives: (1) new hybrid model sales in 2027 ramp up at a more rapid pace; (2) volume increase leads to better operating leverage; (3) rapid rollout of humanoids and L4 robotaxis in 2026. Our SOTP valuation reflects 1) Rmb220bn from vehicle business (1.5x 2028 P/S), 2) Rmb35bn from AI Turing chip business (6x 2028 P/S), 3) Rmb11bn from humanoid business (10x 2028 P/S), 4) Rmb14bn from robotaxi business (10x 2028 P/S).

BASE CASE

US\$21.00

1.7x 2026E P/Sales

Volume growth largely on track, helped by new model introductions: XPeng turns profitable in 2028, underpinned by scale benefits, ASP growth and margin expansion from overseas sales and premium model launches, as well as growing operating leverage. We expect technology service revenue from Volkswagen to help support the company's gross margins in the long run. Meanwhile, increasing ADAS adoption rate should provide more visibility on long-term growth potential from a service revenue perspective.

BEAR CASE

US\$10.00

0.8x 2026E P/Sales

Less competitive model rollout amid a fiercer competitive landscape: (1) with increasing market entrants in the price range of Rmb150k-300k, Xpeng's market share gain slows; (2) weaker-than-expected ADAS adoption rate growth puts pressure on long-term growth potential.

Risk Reward – XPeng Inc. (XPEV.N)

KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Vehicle Sales Volume	429,445.0	462,114.0	595,508.3	665,804.8
Vehicle ASP (Rmb)	165,398	174,679	171,181	171,981
Vehicle Gross Margin (%)	12.8	13.0	13.5	13.6
R&D/sales (%)	12.4	14.5	12.5	11.9
SG&A/sales (%)	12.3	12.0	10.1	9.5

INVESTMENT DRIVERS

- Total vehicle sales volume
- XNGP adoption rate
- Gross margin

GLOBAL REVENUE EXPOSURE



● 100% Mainland China

Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

RISKS TO PT/RATING

RISKS TO UPSIDE

- More competitive model introductions that drive volume growth
- Greater-than-expected margin expansion
- Better-than-expected branding with superior in-car user experience

RISKS TO DOWNSIDE

- Intensified competition in the midrange/high-end segments
- Cash flow pressure with lower profitability
- Moderating auto sales growth pressuring overall industry valuation

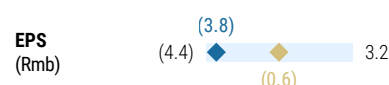
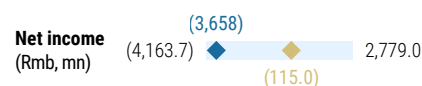
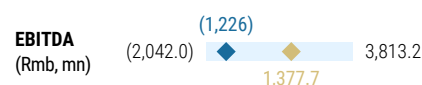
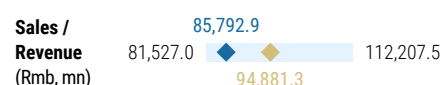
OWNERSHIP POSITIONING

Inst. Owners, % Active	67.2%	
HF Sector Long/Short Ratio	1.9x	
HF Sector Net Exposure	12.5%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Risk Reward – XPeng Inc. (9868.HK)

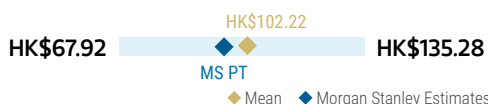
Irons in the fire - AI Turing chip, humanoids, and robotaxis

PRICE TARGET HK\$96.00

Derived from our ADR price target using 7.8 HKD/USD. We assign 30%/50%/20% weightings to our bull/base/bear case scenarios - the bull/bear weighting reflects the potential for valuation re-rating from non-vehicle business/the macro outlook to weaken and sector competition to worsen.

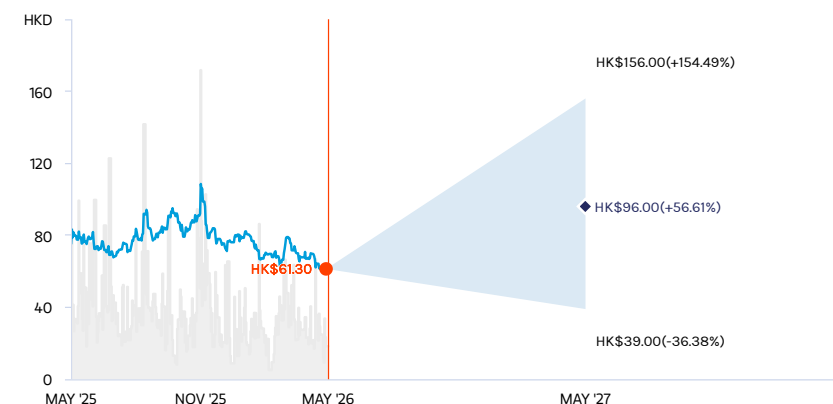
Key base case assumptions: 3% terminal growth rate, 1.6x beta, 12.8% WACC.

Consensus Price Target Distribution



Source: Refinitiv, Morgan Stanley Research

RISK REWARD CHART



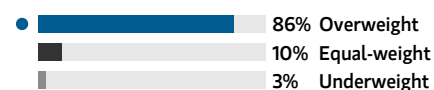
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

OVERWEIGHT THESIS

- With a robust new model pipeline, we expect XPeng's monthly sales to take off from 2H26 and further expand in 2027, underpinned by its super electric hybrid system and L4 rollout.
- More meaningful margin improvement should materialize from 2026, when the scale benefits of new models fully kick in.
- We see increasing value in XPeng's new initiatives in AI Turing chip, humanoids, and robotaxis, which should unlock potential valuation upside as they enter mass rollout in 2026.

Consensus Rating Distribution



MS Rating

Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Electric Vehicles:	Positive
Pricing Power:	Negative
Secular Growth:	Positive

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

HK\$156.00

3.2x 2026E P/Sales

Acceleration in sales volume ramp-up and rapid rollout of new initiatives: (1) new hybrid model sales in 2027 ramp up at a more rapid pace; (2) volume increase leads to better operating leverage; (3) rapid rollout of humanoids and L4 robotaxis in 2026. Our SOTP valuation reflects 1) Rmb220bn from vehicle business (1.5x 2028 P/S), 2) Rmb35bn from AI Turing chip business (6x 2028 P/S), 3) Rmb11bn from humanoid business (10x 2028 P/S), 4) Rmb14bn from robotaxi business (10x 2028 P/S).

BASE CASE

HK\$84.00

1.7x 2026E P/Sales

Volume growth largely on track, helped by new model introductions: XPeng turns profitable in 2028, underpinned by scale benefits, ASP growth and margin expansion from overseas sales and premium model launches, as well as growing operating leverage. We expect technology service revenue from Volkswagen to help support the company's gross margins in the long run. Meanwhile, increasing ADAS adoption rate should provide more visibility on long-term growth potential from a service revenue perspective.

BEAR CASE

HK\$39.00

0.8x 2026E P/Sales

Less competitive model rollout amid a fiercer competitive landscape: (1) with increasing market entrants in the price range of Rmb150k-300k, Xpeng's market share gain slows; (2) weaker-than-expected ADAS adoption rate growth puts pressure on long-term growth potential.

Risk Reward – XPeng Inc. (9868.HK)

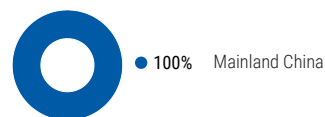
KEY EARNINGS INPUTS

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Vehicle ASP (Rmb)	165,398	174,679	171,181	171,981
Vehicle Gross Margin (%)	12.8	13.0	13.5	13.6
R&D/sales (%)	12.4	14.5	12.5	11.9
SG&A/sales (%)	12.3	12.0	10.1	9.5

INVESTMENT DRIVERS

- Total vehicle sales volume
- XNGP adoption rate
- Gross margin

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

5/5
MOST 3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- More competitive model introductions that drive volume growth
- Greater-than-expected margin expansion
- Better-than-expected branding with superior in-car user experience

RISKS TO DOWNSIDE

- Intensified competition in the mid-/high-end segments
- Cash flow pressure with lower profitability
- Moderating auto sales growth pressuring overall industry valuation

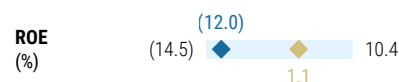
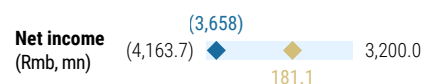
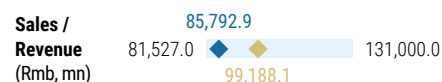
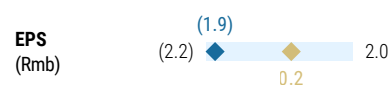
OWNERSHIP POSITIONING

Inst. Owners, % Active 37.5%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



◆ Mean ◆ Morgan Stanley Estimates
Source: Refinitiv, Morgan Stanley Research

Li Auto (LI.O/2015.HK); OW

Estimate Changes

We keep Li Auto's 2026 volume estimates unchanged at 490k units, in line with company guidance. Meanwhile, we lower our 2027/28 volume forecast by 5-7% to 599k/693k units, respectively, factoring in intensifying competition among mid-to-large size SUVs.

Our GPM forecast for 2026/27 remains unchanged at 15.8% and 17.6%, while we lower our 2028 GPM estimates by 0.5pt to 18.5%.

Our R&D expense estimates remain largely unchanged, while we revise up our SG&A estimates for 2026-28 to reflect the company's latest efforts to expand overseas.

Accordingly, our net profit forecasts for 2026-28 fall by 39%/25%/20% to Rmb1.0bn/6.7bn/11.2bn. Our EPS estimates fall by a similar magnitude.

Exhibit 6: Li Auto: Estimate revisions

Li Auto (LI.O:2015.HK) (Rmb m)	Old			New			Change (%)		
	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
Sales volume (units)	489,555	641,777	728,819	489,555	598,732	693,034	0%	-7%	-5%
Revenue	135,096	178,685	203,126	135,096	166,194	193,021	0%	-7%	-5%
Gross Profit	21,313	31,359	38,472	21,284	29,188	35,616	0%	-7%	-7%
Operating Profit	171	8,604	14,164	(534)	5,896	10,804	NM	-31%	-24%
Net Profit	1,588	8,925	14,072	969	6,684	11,206	-39%	-25%	-20%
EPS (ADR)	1.58	8.86	13.97	0.96	6.63	11.12	-39%	-25%	-20%
EPS (H-shares)	0.79	4.43	6.98	0.48	3.32	5.56	-39%	-25%	-20%
Margins (%)									
Gross Margin	15.8%	17.6%	18.9%	15.8%	17.6%	18.5%	0.0pt	0.0pt	-0.5pt
Operating Margin	0.1%	4.8%	7.0%	-0.4%	3.5%	5.6%	-0.5pt	-1.3pt	-1.4pt
Net Margin	1.2%	5.0%	6.9%	0.7%	4.0%	5.8%	-0.5pt	-1.0pt	-1.1pt

Source: Company Data, Morgan Stanley Research. E = Morgan Stanley Research Estimates

Valuation Methodology

We continue to use a probability-weighted methodology to value Li Auto ADRs to capture long-term cash flow. Weightings for our bull/base/bear case scenarios are unchanged at 25%/50%/25%; this skew reflects the potential for the macro outlook to improve/weaken and for sector competition to lessen/worsen, in line with our view on EV start-up peers.

Base case US\$24 (from US\$25): This implies 1.4x 2026e P/sales. This scenario reflects current market conditions, including intensified price competition and subdued domestic demand, while assuming a potential turnaround in 2H26 following Li Auto's L9 facelift in 2Q26 and further volume recovery in 2027 from new model launches.

Bull case US\$30 (from US\$31): This implies 1.7x 2026e P/sales. We assume 20% incremental growth in total volume, as well as an additional 2ppt expansion in gross margin from 2026 vs. our base case. This scenario assumes Li Auto's L series facelifts and new model launches surprise the market on the upside. On top of that, we see upside potential from growing overseas sales and expansion into other physical AI applications (autonomous vehicles, humanoids). Therefore, we assume an additional 1ppt in our long-term growth assumption.

Bear case US\$7 (from US\$7.5): Our bear case value implies 0.4x 2026e P/sales. We assume a 30% decline in volume and 4ppt contraction in vehicle gross margin vs. our base case from 2026 onward.

Our DCF-derived probability-weighted price target declines by 3% to US\$21.5, implying 1.2x 2026e P/sales. In our DCF valuation, our WACC assumption remains unchanged at 15.9%, including a beta of 2.1, China equity risk premium of 4%, risk-free rate of 3%, pretax cost of debt of 7%, a target gearing ratio of 25%, and a long-term growth rate assumption of 3%.

Li Auto-H: Our price target goes down by 3% to HK\$83, implying 1.2x 2026e P/S. This is derived from our ADR price target, applying an exchange rate of 7.8 HKD/USD (unchanged). Our scenario value changes for Li Auto-H are as follows:

Base case: HK\$95 (from HK\$97), implying 1.4x 2026e P/S.

Bull case: HK\$117 (from HK\$121), implying 1.7x 2026e P/S.

Bear case: HK\$27 (from HK\$29), implying 0.4x 2026e P/S.

Exhibit 7: Li Auto: DCF valuation

Rmb mn	2024A	2025A	2026E	2027E	2028E	2029E	2030E
Turnover	146,390	117,117	135,096	166,194	193,021	209,281	221,653
YoY%	16%	-20%	15%	23%	16%	8%	6%
Pre-tax profit (EBIT)	9,316	1,297	1,103	7,609	12,757	14,459	15,770
EBIT margin	5%	0%	0%	4%	6%	6%	6%
YoY%	-19%	-109%	-11%	-998%	58%	4%	2%
+Depreciation & Amortization	3,058	-	-	-	-	-	-
EBITDA	10,077	(521)	(534)	5,896	10,804	12,197	13,214
-Less Adjusted taxes	(1,410)	(1,538)	(1,438)	(1,505)	(1,715)	(1,987)	(2,245)
- Capital expenditure	(7,730)	(4,206)	(4,836)	(5,562)	(6,118)	(6,730)	(7,403)
+/- Changes in working capital	(1,101)	(13,439)	6,600	10,472	10,122	8,235	7,494
Free cash flow	863	(18,043)	1,295	10,089	13,494	12,220	11,698
Corporate NPV	81,327						
Minorities	-						
Net (debt)/cash	95,966						
Equity NPV	177,293						
NOSH - ADS	1,008						
NPV Per share	176.0						
Exchange rate - RMB/USD	7.3						
ADS base case (USD)	24						
Exchange rate - HKD/USD	7.8						
H-share base case (HKD)	95						

Cost of equity (%)	
Risk free rate (%)	3.0
Beta	2.1
US equity risk premium (%)	4.0
China Equity risk premium (%)	4.0
CAPM unleveraged discount rate	19.7
WACC (%)	15.9

Source: Company Data, Morgan Stanley Research. E = Morgan Stanley Research estimates

Financial Summary

Exhibit 8: Li Auto: Financial Summary

Income Statement						Financial Analysis					
(Rmb Mn)	2024A	2025A	2026E	2027E	2028E		2024A	2025A	2026E	2027E	2028E
Revenue	144,460	112,313	135,096	166,194	193,021	Growth (%)					
Cost of sales	(114,804)	(91,327)	(113,812)	(137,007)	(157,406)	Revenue	16.6%	-22.3%	20.3%	23.0%	16.1%
Gross profit	29,656	20,985	21,284	29,188	35,616	Operating profit (GAAP)	-5.2%	NM	NM	NM	83.2%
R&D expenses	(11,071)	(11,315)	(12,159)	(12,963)	(13,705)	Net profit	-31.9%	-85.8%	-14.9%	589.6%	67.7%
SG&A expenses	(12,229)	(10,665)	(10,132)	(10,803)	(11,581)						
Others	664	474	474	474	474	Margins (%)					
Operating profit (GAAP)	7,019	(521)	(534)	5,896	10,804	Gross Margin	20.5%	18.7%	15.8%	17.6%	18.5%
Interest income	1,820	1,919	1,815	1,891	2,131	Operating Margin	4.9%	-0.5%	-0.4%	3.5%	5.8%
Interest expense	(168)	(168)	(178)	(178)	(178)	Net Margin	5.6%	1.0%	0.7%	4.0%	5.8%
Other income / (expense)	654	67	-	-	-						
Pre-tax profit	9,316	1,297	1,103	7,609	12,757	Revenue composition					
Income tax	(1,270)	(158)	(134)	(925)	(1,551)	Vehicle sales - unit	500,508	406,343	489,555	598,732	693,034
Profit after tax	8,045	1,139	969	6,684	11,206	Revenue - vehicle sales	138,538	106,683	129,316	159,807	186,120
Minority interests	-	-	-	-	-	Revenue - Other	5,922	5,629	5,780	6,388	6,902
Net income	8,045	1,139	969	6,684	11,206	Revenue mix					
Disc. Operational income	-	-	-	-	-	Revenue - vehicle sales	95.9%	95.0%	95.7%	96.2%	96.4%
Reported net income	8,045	1,139	969	6,684	11,206	Revenue - software	4.1%	5.0%	4.3%	3.8%	3.6%
EPS (Rmb) - ADR	8.06	1.12	0.96	6.63	11.12						
EPS (Rmb) - H share	4.03	0.56	0.48	3.32	5.56	Gearing (x)					
						Asset/Equity	2.29	2.12	2.20	2.23	2.19
						Total Liabilities/Equity	1.28	1.12	1.20	1.23	1.19
Balance Sheet						Cashflow Statement					
(Rmb Mn)	2024A	2025A	2026E	2027E	2028E	(Rmb Mn)	2024A	2025A	2026E	2027E	2028E
Non-current assets	36,039	39,010	43,846	49,408	55,526	Cash from operating activities	15,933	(8,611)	9,080	18,940	23,355
Property and equipment, net	22,056	23,967	28,803	34,365	40,483	Cash from investing activities	(41,137)	(703)	(4,836)	(5,562)	(6,118)
Intangible assets, net	-	-	-	-	-	Cash from financing activities	(416)	787	-	-	-
Long-term investments	923	849	849	849	849	Exchange difference	198	(453)	-	-	-
Other non-current assets	13,061	14,194	14,194	14,194	14,194	Increase in cash and equivalents	(25,422)	(9,000)	4,244	13,379	17,238
Current assets	126,310	115,286	121,709	137,343	156,564	Cash BOP	91,330	65,908	56,908	61,152	74,530
Cash and cash equivalents	112,813	101,239	105,483	118,862	136,099	Cash EOP	65,908	56,908	61,152	74,530	91,768
Inventory	8,186	8,752	10,907	13,130	15,085						
Other current assets	5,312	5,294	5,318	5,352	5,380						
Current liabilities	69,216	63,548	72,327	85,055	97,160						
Short-term borrowings	281	6,218	6,218	6,218	6,218						
Trade payable	53,596	40,579	46,772	56,304	64,687						
Taxes payable	-	-	-	-	-						
Other current liabilities	15,339	16,751	19,337	22,533	26,256						
Non-current liabilities	21,813	17,608	17,608	17,608	17,608						
Long-term borrowings	8,152	3,299	3,299	3,299	3,299						
Other non-current liabilities	13,661	14,309	14,309	14,309	14,309						
Equity	70,875	72,619	75,099	83,568	96,801						
Convertible preferred stock	-	-	-	-	-						
Common Stock	1	1	1	1	1						
Accumulated deficit	10,919	13,301	15,781	24,249	37,483						
Others	59,955	59,317	59,317	59,317	59,317						
Minority interests	-	-	-	-	-						

Source: Company Data, Morgan Stanley Research. E = Morgan Stanley Research Estimates

Risk Reward – Li Auto Inc. (LI.O)

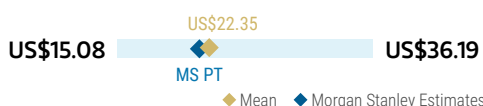
Reforging the model, strategy and market conviction

PRICE TARGET US\$21.50

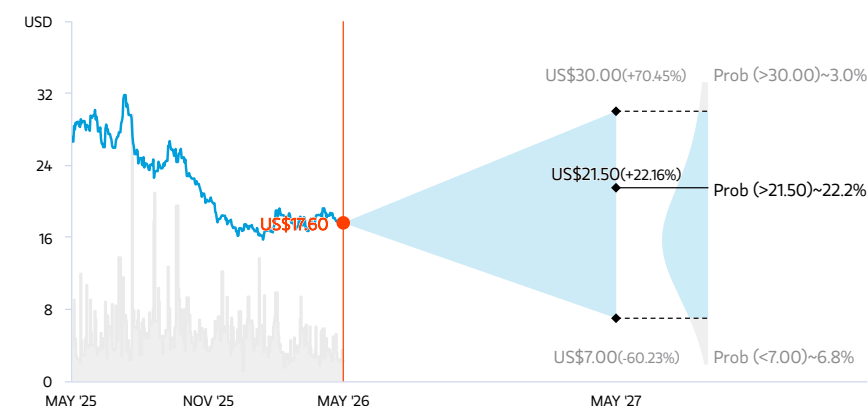
Probability-weighted DCF methodology. Weightings for our bull/base/bear case scenarios are 25%/50%/25% - the bull/bear weighting reflects the potential for the macro outlook to improve/weaken and for sector competition to lessen/worsen. We factor in solid volume growth over time as China's EV penetration increases. Key base case assumptions: WACC 15.9%, beta 2.1, long-term growth 3%.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



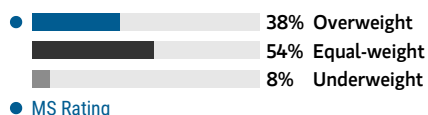
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 7 May 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

OVERWEIGHT THESIS

- Li Auto's early-mover advantage in EREVs could enable the company to penetrate low-tier regions in China more effectively, while its BEV launches could help strengthen its market share in high-tier regions.
- We think the company deserves more credit for its well-rounded strategy and quality execution, laying a favorable foundation for the upcoming L series upgrade in 2Q26, which could be the next stock catalyst and growth driver.
- Li Auto just kicked off its overseas expansion in 2H25, which could underpin both volume and margin upside from 2026 onwards.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Electric Vehicles:	Positive
Pricing Power:	Negative
Self-help:	Positive

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

US\$30.00

Implies 1.7x 2026E P/S

Faster-than-expected volume recovery of L series, followed by the introduction of new models: 1) Effective execution of marketing strategy targeting family consumers to help a rapid recovery of L family sales; 2) gross margin expansion helped by improving scalability; 3) meaningful progress on autonomous driving development that leads to higher visibility on future revenue contribution and long-term growth potential.

BASE CASE

US\$24.00

Implies 1.4x 2026E P/S

L series upgrade to lead volume/margin recovery from 2027: 1) L series sales recover following its major upgrade in 2026; 2) further sales contribution from the L series and Mega in 2026-27; 3) steady gross margin recovery from scale benefits and overseas sales in 2027-28; 4) on-track autonomous driving development targeting L4 by 2026-27.

BEAR CASE

US\$7.00

Implies 0.4x 2026E P/S

Weaker-than-expected L series sales recovery: 1) The company needs to accelerate the model introduction plan, which could raise capital requirements, particularly amid lower-than-expected sales; 2) new model introductions behind schedule; 3) autonomous driving development lagging peers.

Risk Reward – Li Auto Inc. (LI.O)

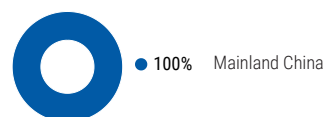
KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Vehicle Sales Volume	406,343.0	489,555.3	598,731.5	693,034.2
Vehicle ASP (Rmb)	310,040	298,489	301,607	303,470
Vehicle Gross Margin (%)	17.9	15.0	17.0	18.0
R&D/sales (%)	10.1	9.0	7.8	7.1
SG&A/sales (%)	9.5	7.5	6.5	6.0

INVESTMENT DRIVERS

- Further ramp-up of L family sales with expanding distribution channels
- Margin expansion with improving scalability
- Rapid introduction of new models

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

RISKS TO PT/RATING

RISKS TO UPSIDE

- More rapid sales volume ramp-up of L series and, therefore, better-than-expected margins.
- Volume growth from BEV models.
- Faster-than-expected AD development.

RISKS TO DOWNSIDE

- Unexpected disruption owing to component bottleneck.
- Delayed model launches.
- Moderating auto sales growth.

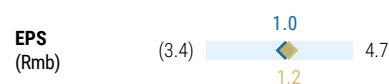
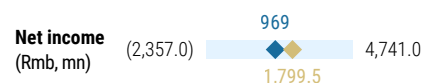
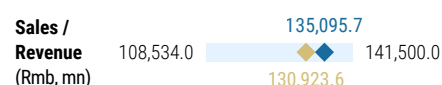
OWNERSHIP POSITIONING

Inst. Owners, % Active	62.3%	
HF Sector Long/Short Ratio	1.9x	
HF Sector Net Exposure	12.5%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Risk Reward – Li Auto Inc. (2015.HK)

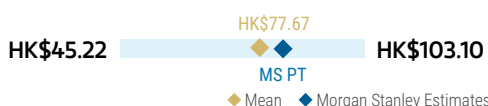
Reforging the model, strategy and market conviction

PRICE TARGET HK\$83.00

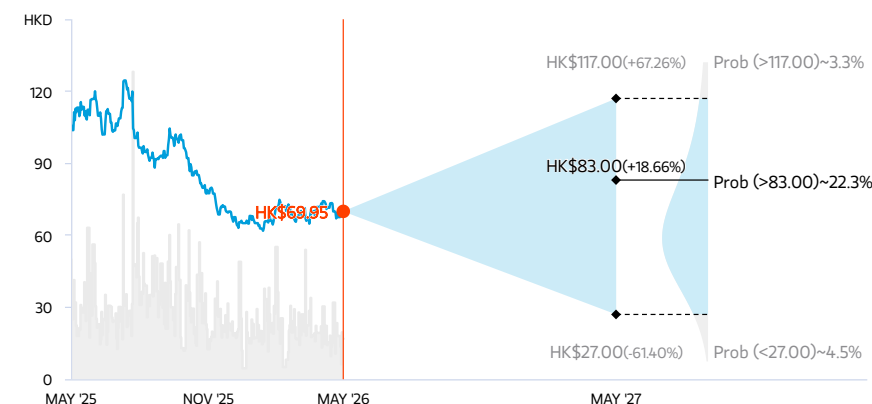
Probability-weighted DCF methodology. Derived from our ADR price target, and applying a HKD/USD exchange rate of 7.8. Weightings for our bull/base/bear case scenarios are 25%/50%/25% - the bull/bear weighting reflects the potential for the macro outlook to improve/weaken and for sector competition to lessen/worsen. Key base case assumptions: WACC 15.9%, beta 2.1, long-term growth 3%.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 7 May 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

BULL CASE

HK\$117.00

Implies 1.7x 2026E P/S

Faster-than-expected volume recovery of L series, followed by the introduction of new models: 1) Effective execution of marketing strategy targeting family consumers to help a rapid recovery of L family sales; 2) gross margin expansion helped by improving scalability; 3) meaningful progress on autonomous driving development that leads to higher visibility on future revenue contribution and long-term growth potential.

BASE CASE

HK\$95.00

Implies 1.4x 2026E P/S

L series upgrade to lead volume/margin recovery from 2027: 1) L series sales recover following its major upgrade in 2026; 2) further sales contribution from the L series and Mega in 2026-27; 3) steady gross margin recovery from scale benefits and overseas sales in 2027-28; 4) on-track autonomous driving development targeting L4 by 2026-27.

BEAR CASE

HK\$27.00

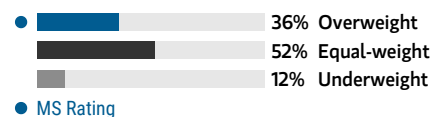
Implies 0.4x 2026E P/S

Weaker-than-expected L series sales recovery: 1) The company needs to accelerate the model introduction plan, which could raise capital requirements, particularly amid lower-than-expected sales; 2) new model introductions behind schedule; 3) autonomous driving development lagging peers.

OVERWEIGHT THESIS

- Li Auto's early-mover advantage in EREVs could enable the company to penetrate low-tier regions in China more effectively, while its BEV launches could help strengthen its market share in high-tier regions.
- We think the company deserves more credit for its well-rounded strategy and quality execution, laying a favorable foundation for the upcoming L series upgrade in 2Q26, which could be the next stock catalyst and growth driver.
- Li Auto just kicked off its overseas expansion in 2H25, which could underpin both volume and margin upside from 2026 onwards.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Electric Vehicles:	Positive
Pricing Power:	Negative
Secular Growth:	Positive

View descriptions of Risk Rewards Themes [here](#)

Risk Reward – Li Auto Inc. (2015.HK)

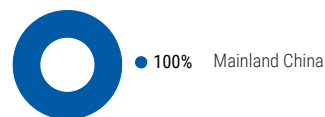
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Drivers	2025	2026e	2027e	2028e
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Vehicle ASP (Rmb)	310,040	298,489	301,607	303,470
Vehicle Gross Margin (%)	17.9	15.0	17.0	18.0
R&D/sales (%)	10.1	9.0	7.8	7.1
SG&A/sales (%)	9.5	7.5	6.5	6.0

INVESTMENT DRIVERS

- Further ramp-up of L family sales with expanding distribution channels
- Margin expansion with improving scalability
- Rapid introduction of new models

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

5/5
MOST

3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- More rapid sales volume ramp-up of L series and, therefore, better-than-expected margins.
- Volume growth from BEV models.
- Faster-than-expected AD development.

RISKS TO DOWNSIDE

- Unexpected disruption owing to component bottleneck.
- Delayed model launches.
- Moderating auto sales growth.

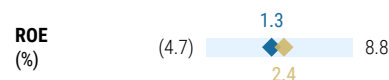
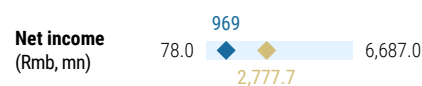
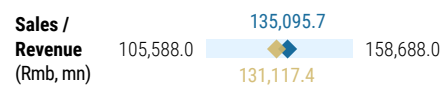
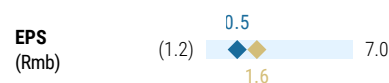
OWNERSHIP POSITIONING

Inst. Owners, % Active 28.2%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



◆ Mean ◆ Morgan Stanley Estimates
Source: Refinitiv, Morgan Stanley Research

NIO (NIO.N/9866.HK); OW

Estimate Changes

Our 2026-28 volume and revenue estimates remain largely unchanged (<1% adjustments).

We raise our 2026-28 GPM estimates by 0.4-2.0pt to 18.0%/18.2%/18.4% to reflect a higher sales mix of ES8/ES9 (20%+ GPM) given their robust order backlog, more than offsetting raw material cost inflation.

We also lower our opex forecast for 2026-28 as last year's restructuring efforts continue to bear fruit, improving NIO's operational efficiency.

Our net loss estimates narrow by 62% (net loss per share narrows by 66%) to Rmb3.3bn in 2026, while we now look for NIO to reach net profit breakeven in 2027, one year earlier than our previous estimates. We forecast Rmb796mn and Rmb4.3bn net profit in 2027 and 2028, respectively. Our 2026-28 net loss/profit estimates move by a similar magnitude.

Exhibit 9: NIO: Estimate revisions

NIO (NIO.N;9866.HK) (Rmb m)	Before change			After change			Change (%)		
	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
Sales volume (units)	476,240	569,313	655,924	473,579	574,819	660,749	-1%	1%	1%
Revenue	128,033	154,873	180,820	128,580	156,629	182,131	0%	1%	1%
Gross Profit	19,442	25,316	31,761	21,755	27,202	32,584	12%	7%	3%
Operating Profit	(9,109)	(4,265)	1,202	(3,961)	(208)	3,625	-57%	-95%	202%
Net Profit	(8,673)	(3,497)	2,380	(3,301)	796	4,328	-62%	NM	82%
EPS - Rmb	(4.2)	(1.7)	1.2	(1.5)	0.4	1.9	-66%	NM	64%
Margins (%)									
Vehicle Margin	16.0%	17.0%	18.0%	18.0%	18.2%	18.4%	2.0	1.2	0.4
Gross Margin	15.2%	16.3%	17.6%	16.9%	17.4%	17.9%	1.7	1.0	0.3
Operating Margin	-7.1%	-2.8%	0.7%	-3.1%	-0.1%	2.0%	4.0	2.6	1.3
Net Margin	-6.8%	-2.3%	1.3%	-2.6%	0.5%	2.4%	4.2	2.8	1.1

Source: Company data, Morgan Stanley Research (E) estimates

Valuation Methodology

We continue to use a probability-weighted methodology to value NIO's ADR to capture its long-term cash flow. Weightings for our bull/base/bear case scenarios are unchanged at 25%/50%/25% - this bull/bear weighting reflects the potential for the macro outlook to improve/weaken and for sector competition to lessen/worsen, in-line with our view on EV start-up peers.

ADR

Base case value of US\$6.4 (from US\$6): This implies 0.8x 2026e P/S. This scenario reflects current market conditions, including intensifying price competition and an uncertain global macro outlook, while NIO's restructuring efforts continue to bear fruit, resulting in greater cost savings and operating leverage.

Bull case value of US\$14 (from US\$13): This implies 1.8x 2026e P/S. We assume additional 20% growth in total volume with 10% increase in vehicle ASP, which leads to further 3ppt expansion in gross margin from 2026. On top of that, we see upside potential from growing overseas sales and expansion into other physical AI applications (autonomous vehicles, humanoids). Therefore, we assume an additional 3ppt in our long-term growth assumption.

Bear case value of US\$2.7 (from US\$2.5): Our bear case implies 0.3x 2026e P/S. We assume a 30% decline in volume and 2ppt contraction in vehicle gross margin vs. our base case from 2026 onward. Our cut mainly reflects the current macro slowdown as well as intensifying competition.

Our DCF-derived probability-weighted price target goes up by 5% to US\$7.4, implying 1.0x 2026e P/S. In our DCF valuation, our WACC assumption remains unchanged at 17.8%, including a beta of 2.4, China equity risk premium of 4%, risk-free rate of 3%, pretax cost of debt of 6%, a target gearing ratio of 25%, and a long-term growth rate assumption of 3%.

NIO-H: Our price target of HK\$58 (from HK\$54) is derived from our ADR price target, applying a HKD/USD exchange rate of 7.8, implying 1.0x 2026E P/Sales. Our scenario value changes for NIO-H are as follows:

Base case HK\$50 (from HK\$47), implying 0.8x 2026E P/Sales

Bull case HK\$109 (from HK\$101), implying 1.8x 2026E P/Sales

Bear case HK\$21 (from HK\$20), implying 0.3x 2026E P/Sales

Exhibit 10: NIO: DCF Model – Base Case

Rmb mn	2024A	2025A	2026E	2027E	2028E	2029E	2030E
Turnover	65,732	87,488	128,580	156,629	182,131	203,493	223,775
YoY%	18%	33%	47%	22%	16%	12%	10%
Pre-tax profit (EBIT)	(22,425)	(14,821)	(3,276)	839	5,096	9,269	13,664
EBIT margin	-34%	-17%	-3%	1%	3%	5%	6%
YoY%	10%	-34%	-78%	-126%	507%	82%	47%
+Depreciation & Amortization	5,875	5,997	6,576	6,211	5,931	5,715	5,550
EBITDA	(15,999)	(8,045)	2,615	6,003	9,556	13,043	16,719
-Less Adjusted taxes	(55)	125	(236)	(566)	(867)	(1,267)	(1,737)
- Capital expenditure	9,142	8,500	5,000	5,000	5,000	5,000	5,000
+/- Changes in working capital	(6,857)	(6,972)	(13,355)	(9,701)	(8,622)	(6,966)	(6,389)
Free cash flow	(18,867)	(10,349)	11,393	11,143	13,018	14,293	16,815
Corporate NPV - NIO China	101,450						
Net (debt)/cash	16,235						
Equity NPV - NIO China	117,685						
Equity NPV - NIO Inc.	106,340						
NOSH - ADS	2,273						
NPV Per share	47						
Exchange rate - RMB/USD	7.3						
ADS base case (USD)	6.4						
Exchange rate - HKD/USD	7.8						
H-share base case (HKD)	50						

Cost of equity (%)	
Risk free rate (%)	3.0
Beta	2.4
US equity risk premium (%)	4.0
China Equity risk premium (%)	4.0
CAPM unleveraged discount rate	22.2
WACC (%)	17.8

Source: Company data, Morgan Stanley Research (E) estimates

Financial Summary

Exhibit 11: NIO: Financial Summary

Income Statement						Financial Analysis					
(Rmb Mn)	2024A	2025A	2026E	2027E	2028E		2024A	2025A	2026E	2027E	2028E
Revenue	66,732	87,488	128,580	156,629	182,131	Growth (%)					
Cost of sales	(59,239)	(75,572)	(106,825)	(129,427)	(149,547)	Revenue	18.2%	33.1%	47.0%	21.8%	16.3%
Gross profit	6,493	11,916	21,755	27,202	32,584	Operating profit (GAAP)	NM	NM	NM	NM	NM
R&D expenses	(13,037)	(10,605)	(10,286)	(10,964)	(11,656)	Net profit	NM	NM	NM	NM	443.4%
SG&A expenses	(15,741)	(16,068)	(15,430)	(16,446)	(17,302)						
Others	412	736	-	-	-	Margins (%)					
Operating profit (GAAP)	(21,874)	(14,041)	(3,961)	(208)	3,625	Gross Margin	9.9%	13.6%	16.9%	17.4%	17.9%
Stock-based compensation	(1,929)	(1,791)	(1,725)	(1,839)	(1,943)	Operating Margin	-33.3%	-16.0%	-3.1%	-0.1%	2.0%
Operating profit (ex. stock comp)	(19,946)	(12,251)	(2,236)	1,631	5,568	Net Margin	-34.5%	-17.8%	-2.6%	0.5%	2.4%
Interest income	854	762	1,119	1,481	1,905	Efficiency					
Interest expense	(798)	(885)	(885)	(885)	(885)	Asset Turnover (x)	1.6	1.3	1.0	0.9	0.9
Other income / (expense)	(606)	(656)	451	451	451	Inventory Days	44	44	44	44	44
Protax profit	(22,425)	(14,821)	(3,276)	839	5,096	Receivables Days	9	9	9	9	9
Income tax	23	(122)	(27)	(42)	(764)	Payable Days	212	212	212	212	212
Profit after tax	(22,402)	(14,943)	(3,303)	797	4,331	Return (%)					
Minority interests	92	(18)	3	(1)	(4)	ROA	-19%	-14%	-3%	1%	3%
Net income	(22,310)	(14,961)	(3,301)	796	4,328	ROE	-77%	-116%	-39%	11%	45%
Convertible redeemable preferred shares	(348)	(610)	-	-	-	Gearing (x)					
Reported net income	(22,658)	(15,571)	(3,301)	796	4,328	Asset/Equity	8.02	13.12	18.46	15.04	10.23
EPS (Rmb)	(11.03)	(6.85)	(1.45)	0.35	1.90	Total Liabilities/Equity	7.02	12.11	17.44	14.03	9.22
						Total IB Debt/Equity	1.28	2.01	2.46	1.79	1.08
Balance Sheet						Cashflow Statement					
(Rmb Mn)	2024A	2025A	2026E	2027E	2028E	(Rmb Mn)	2024A	2025A	2026E	2027E	2028E
Non-current assets	46,719	47,115	46,539	44,327	43,397	Cash from operating activities	(7,849)	924	18,353	18,548	20,827
Property and equipment, net	25,893	28,396	26,820	25,609	24,678	Cash from investing activities	(4,958)	(8,500)	(5,000)	(5,000)	(5,000)
Intangible assets, net	30	30	30	30	30	Cash from financing activities	1,772	8,299	-	-	-
Long-term investments	3,126	2,019	2,019	2,019	2,019	Exchange difference	161	-	-	-	-
Other non-current assets	16,670	16,670	16,670	16,670	16,670	Increase in cash and equivalents	(10,874)	723	13,353	13,548	15,827
Current assets	61,886	65,118	83,258	100,226	119,110	Cash BOP	38,622	27,747	28,470	41,824	55,372
Cash and cash equivalents	19,329	20,052	33,405	46,953	62,780	Cash EOP	27,747	28,470	41,824	55,372	71,199
Inventory	7,087	9,041	12,780	15,484	17,892						
Other current assets	35,470	36,025	37,073	37,788	38,438						
Current liabilities	62,311	71,792	89,934	103,054	114,734						
Short-term borrowings	5,730	5,730	5,730	5,730	5,730						
Trade payable	34,387	43,868	62,010	75,130	86,810						
Taxes payable	400	400	400	400	400						
Other current liabilities	21,794	21,794	21,794	21,794	21,794						
Non-current liabilities	31,787	31,787	31,787	31,787	31,787						
Long-term borrowings	11,441	11,441	11,441	11,441	11,441						
Other non-current liabilities	9,086	9,086	9,086	9,086	9,086						
Equity	13,507	8,654	7,076	9,712	15,986						
Convertible preferred stock	7,442	7,442	7,442	7,442	7,442						
Common Stock	4	8,303	8,303	8,303	8,303						
Accumulated deficit	(113,068)	(126,220)	(127,798)	(125,162)	(118,888)						
Others	119,032	119,032	119,032	119,032	119,032						
Minority interests	98	98	98	98	98						

Source: Company data, Morgan Stanley Research (E) estimates

Risk Reward – NIO Inc. (NIO.N)

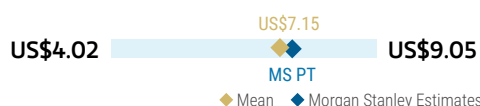
Execution, the key to reviving stock performance

PRICE TARGET US\$7.40

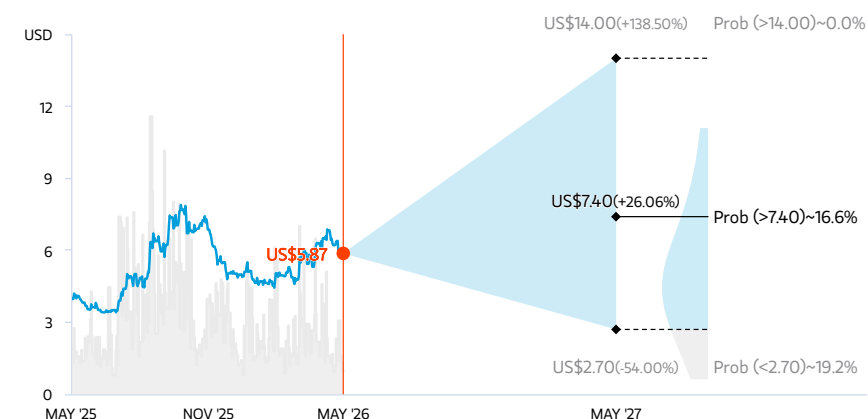
Probability-weighted valuation methodology. We factor in solid volume growth over time and expect net profit to break even in 2028. Key assumptions: WACC 17.8%, reflecting beta 2.4, and long-term growth rate 3.0%. Weightings for our bull/base/bear case scenarios are 25%/50%/25% - the bull/bear weightings reflect the potential for the macro outlook to improve/weaken and for sector competition to lessen/worsen.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



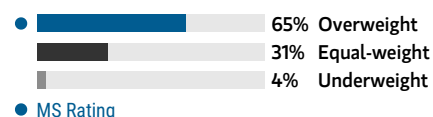
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 7 May 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

OVERWEIGHT THESIS

- For NIO shares to outperform from here, we would expect to see one or both of the following: 1) sales of NIO brand and Onvo to further take off in 2026 following new ES8 and Onvo L80 launch; and/or 2) a reduction in the company's cash burn via more effective restructuring and cost reduction.
- If the company can demonstrate quality execution in growing the sales of its sub-brand Onvo and good cost synergy, reflected in contained opex and capex, we think the stock can outperform with more structural growth into 2026.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Electric Vehicles: *Positive*

Self-help: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

US\$14.00

1.8x 2026E P/S

Successful expansion into new segments and/or better ADAS adoption: 1) Notably higher-than-expected orders and sales volume; 2) more rapid growth of market acceptance of NIO's ADAS services, with higher adoption rate and higher subscription price in the long run; 3) accelerating sales network expansion to support total sales growth, which in turn helps NIO achieve self-funding ahead of our expectation.

BASE CASE

US\$6.40

0.8x 2026E P/S

Further ramp-ups in sales volume, and operating efficiency improvements: Our base-case incorporates: 1) a steady sales volume ramp-up as well as market share expansion in the premium NEV segment; 2) turning profitable in 2027; 3) more aggressive sales network expansion.

BEAR CASE

US\$2.70

0.3x 2026E P/S

Worse-than-expected sales and margins: 1) Lower sales volume, ASP and margins due to weaker-than-expected demand for NIO's vehicles and less customer preference for NIO's optional add-on features, or BaaS plan; 2) 30% lower sales, 10% lower ASP and 2ppt lower vehicles gross margin compared to our base case to incorporate demand weakness amid consumption slowdown; 3) slower-than-expected ADAS service adoption rate and monetization potential.

Risk Reward – NIO Inc. (NIO.N)

KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
ES6 Sales Volume	43,631	30,542	33,596	36,284
ES6 ASP (Rmb)	290,309	290,309	290,309	290,309
ES8 Sales Volume	46,795	140,385	154,424	166,777
ES8 ASP (Rmb)	355,980	355,980	355,980	355,980

INVESTMENT DRIVERS

- Sales volume
- Introduction of new models
- BaaS penetration

GLOBAL REVENUE EXPOSURE



● 100% Mainland China

Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

RISKS TO PT/RATING

RISKS TO UPSIDE

- Introduction of new models
- Stronger-than-expected sales volume
- Better-than-expected improvements in operating efficiency

RISKS TO DOWNSIDE

- Weaker-than-expected sales volume
- Lack of signs of efficiency improvement
- Moderating auto sales growth pressuring overall industry valuations

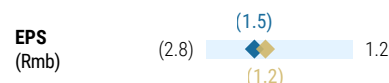
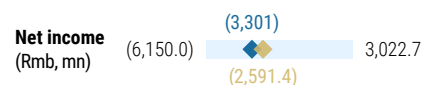
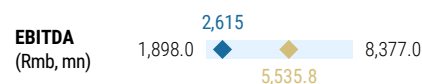
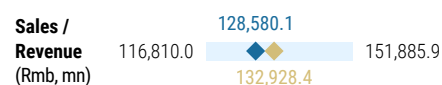
OWNERSHIP POSITIONING

Inst. Owners, % Active	50.1%	
HF Sector Long/Short Ratio	1.9x	
HF Sector Net Exposure	12.5%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Risk Reward – NIO Inc. (9866.HK)

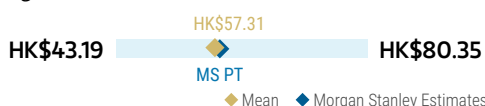
Execution, the key to reviving stock performance

PRICE TARGET HK\$58.00

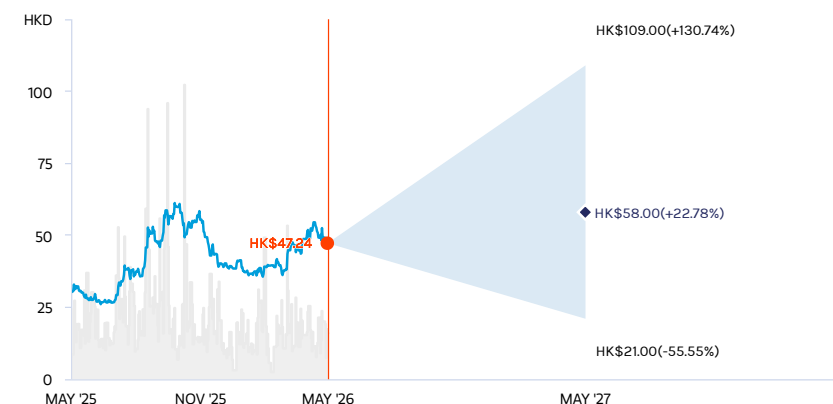
Derived from our ADR price target using a HKD/USD exchange rate of 7.8. For the ADR, we assign 25%/50%/25% weightings to our bull/base/bear case scenarios - the bull/bear weighting reflects the potential for the macro outlook to improve/weaken and for sector competition to lessen/worsen. Key assumptions: WACC 17.8%, reflecting NIO's more mature stage of business, beta 2.4, and a long-term growth rate of 3%.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



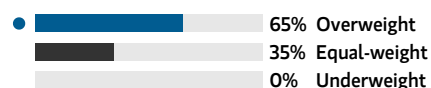
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

OVERWEIGHT THESIS

- For NIO shares to outperform from here, we would expect to see one or both of the following: 1) sales of NIO brand and Onvo to further take off in 2026 following new ES8 and Onvo L80 launch; and/or 2) a reduction in the company's cash burn via more effective restructuring and cost reduction.
- If the company can demonstrate quality execution in growing the sales of its sub-brand Onvo and good cost synergy, reflected in contained opex and capex, we think the stock can outperform with more structural growth into 2026.

Consensus Rating Distribution



MS Rating

Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Electric Vehicles: *Positive*

Self-help: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

HK\$109.00

1.8x 2026E P/S

Successful expansion into new segments and/or better ADAS adoption: (1) notably higher-than-expected orders and sales volume; (2) more rapid growth of market acceptance of NIO's ADAS services, with higher adoption rate and higher subscription price in the long run; (3) accelerating sales network expansion to support total sales growth, which in turn helps NIO achieve self-funding ahead of our expectation.

BASE CASE

HK\$50.00

0.8x 2026E P/S

Further ramp-ups in sales volume; operating efficiency improvements: Our base case incorporates: (1) a steady sales volume ramp-up as well as market share expansion in the premium NEV segment; (2) turning profitable in 2027; (3) more aggressive sales network expansion.

BEAR CASE

HK\$21.00

0.3x 2026E P/S

Worse-than-expected sales and margins: (1) lower sales volume, ASP and margins due to weaker-than-expected demand for NIO's vehicles and less customer preference for NIO's optional add-on features, or BaaS plan; (2) 30% lower sales, 10% lower ASP, and 2ppt lower vehicles gross margin compared to our base case to incorporate demand weakness amid consumption slowdown; (3) slower-than-expected ADAS service adoption rate and monetization potential.

Risk Reward – NIO Inc. (9866.HK)

KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
ES6 Sales Volume	43,631	30,542	33,596	36,284
ES6 ASP (Rmb)	290,309	290,309	290,309	290,309
ES8 Sales Volume	46,795	140,385	154,424	166,777
ES8 ASP (Rmb)	355,980	355,980	355,980	355,980

INVESTMENT DRIVERS

- Sales volume
- Introduction of new models
- BaaS penetration

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

4/5
MOST 3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Introduction of new models
- Stronger-than-expected sales volume
- Better-than-expected improvements in operating efficiency

RISKS TO DOWNSIDE

- Weaker-than-expected sales volume
- Lack of signs of efficiency improvement
- Moderating auto sales growth pressuring overall industry valuations

OWNERSHIP POSITIONING

Inst. Owners, % Active 31.5%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e

Sales / Revenue (Rmb, mn) 111,704.0 128,580.1 144,834.0
128,619.6

EBITDA (Rmb, mn) (2,532.4) 2,615 7,460.0
3,830.1

Net income (Rmb, mn) (8,672.6) (3,301) (116.5)
(3,184.8)

EPS (Rmb) (4.2) (1.5) (0.0)
(1.5)

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

BYD (1211.HK/002594.SZ); OW

Estimate Changes

Our 2026-28 volume and revenue forecasts remain largely unchanged.

We revise down our 2026-28 GPM forecasts by 0.3pt to 18.0%/18.4%/18.8%, reflecting raw material cost inflation and higher BoM cost from smart driving/ultra-fast charging spec upgrades, which could be partially offset by a higher mix of overseas and premium model sales.

We increase our opex forecast for 2026-28 on the back of higher R&D investments in smart driving and SG&A expenses overseas.

Our 2026-28 net profit forecasts lower by 6-8% to Rmb38bn/Rmb49bn/Rmb59bn and our EPS forecasts fall by a similar magnitude.

Exhibit 12: BYD: Estimate revisions

BYD (1211.HK ; 002594.SZ) (Rmb m)	New			Old			Change		
	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
Auto sales volume (units)	5,176,236	5,721,710	6,187,411	5,176,236	5,721,710	6,187,411	0.0%	0.0%	0.0%
Revenue	912,565	999,719	1,080,301	912,565	999,719	1,080,301	0.0%	0.0%	0.0%
Gross Profit	164,323	184,232	202,810	166,774	186,928	205,713	-1.5%	-1.4%	-1.4%
Operating Profit	47,410	60,746	73,043	51,205	65,002	78,010	-7.4%	-6.5%	-6.4%
Net Profit	38,013	48,924	58,876	41,097	52,381	62,911	-7.5%	-6.6%	-6.4%
EPS	4.21	5.42	6.52	4.55	5.80	6.97	-7.5%	-6.6%	-6.4%
Margins									
Gross Margin	18.0%	18.4%	18.8%	18.3%	18.7%	19.0%	-0.3pt	-0.3pt	-0.3pt
Operating Margin	5.2%	6.1%	6.8%	5.6%	6.5%	7.2%	-0.4pt	-0.4pt	-0.5pt
Net Margin	4.2%	4.9%	5.4%	4.5%	5.2%	5.8%	-0.3pt	-0.3pt	-0.4pt
Net Profit per vehicle (Rmb)	6,729	7,813	8,735	7,346	8,438	9,410	-8.4%	-7.4%	-7.2%

Source: Company data, Morgan Stanley Research (E) estimates

Valuation Methodology

We continue to use a blended, probability-weighted methodology to value BYD. We apply unchanged probability weightings of 25%, 50%, and 25% to our bull, base, and bear case scenarios, in line with what we use for its EV start-up peers.

H-shares

Base case HK\$112 (from HK\$117): This implies 25x 2026e P/E. We maintain our WACC of 14.3%, based on 8% equity risk premium, 1.8 beta, 4% risk-free rate, and 3% long-term growth. Our lower base case value reflects our lower 2026-28 earnings estimates.

Bull case HK\$210 (from HK\$220): This implies 40x bull case 2026e P/E. We continue to use a SOTP (sum-of-the-parts) valuation methodology to derive our bull case value. There are three main parts:

- BYD's whole EV business – 2x EV/sales: benchmarked against EV startups;
- BYD's battery business – 10x EV/EBITDA: benchmarked against CATL; and
- BYDE – we use its most recent closing market cap.

Bear case HK\$49 (from HK\$51): This is based on 12x 2026e bear case P/E. In this scenario, we assume worse-than-expected auto sales both domestically and overseas as several emerging markets enter economic recessions, while BYD cuts prices more aggressively from fiercer EV competition. We factor in minimum external battery sales and lower auto

sales volume.

Our probability-weighted price target goes down by 4% to HK\$121 (from HK\$126), implying 27x 2026e P/E.

A-shares

Our price target for BYD-A decreases by a similar magnitude, to Rmb120 (from Rmb125), implying 27x 2026 P/E. For BYD-A, we continue to apply a 5% premium to our H-share bull and base case values, and no premium to our bear case value. We apply an exchange rate of 1.06 RMB/HKD (unchanged).

Therefore, we make the following changes:

Base case Rmb112 (from Rmb116), implying 25x 2026E P/E.

Bull case Rmb209 (from Rmb219), implying 40x bull case 2026E P/E.

Bear case Rmb46 (from Rmb48), implying 12x 2026E bear case P/E.

Exhibit 13: BYD: DCF Model – Base Case

Rmb m	2024	2025E	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E
Revenue	777,102	803,965	912,565	999,719	1,079,696	1,160,673	1,241,921	1,322,645	1,408,617	1,500,178
yoy	29.0%	3.5%	13.5%	9.6%	8.0%	7.5%	7.0%	6.5%	6.5%	6.5%
EBIT	50,897	39,104	47,463	60,988	66,947	73,129	79,490	85,979	92,977	100,520
EBIT margin	6.5%	4.9%	5.2%	6.1%	6.2%	6.3%	6.4%	6.5%	6.6%	6.7%
+D&A	66,906	80,526	87,236	103,152	111,404	119,759	128,142	136,472	145,342	154,789
D&A as % of revenue	8.6%	10.0%	9.6%	10.3%	10.3%	10.3%	10.3%	10.3%	10.3%	10.3%
-Adjusted Taxes (EBIT * t)	(8,110)	(6,224)	(7,554)	(9,707)	(16,737)	(18,282)	(19,872)	(21,495)	(23,244)	(25,130)
-Capital Expenditure	(101,026)	(159,622)	(132,841)	(142,841)	(135,699)	(128,914)	(122,469)	(116,345)	(110,528)	(105,002)
+Change in Working Capital	18,699	(56,263)	27,523	21,375	24,239	27,360	30,739	34,374	38,438	42,984
Free Cash Flow	27,366	(102,479)	21,827	32,967	50,154	73,051	96,030	118,985	142,985	168,162
Discount factor	1.00	1.00	1.14	1.29	1.47	1.66	1.89	2.15	2.44	2.77
PV	27,366	(102,479)	19,217	25,554	34,227	43,892	50,798	55,414	58,629	60,707
Terminal Value										
Corporate NPV	939,299									
-Minorities										
-Net Debt										
Equity NPV	960,825									
NOSH										
NPV per share										
Exchange rate										
H-share base case (HK\$)										
A-share base case (Rmb)										

Source: Company Data, Morgan Stanley Research. E = Morgan Stanley Research Estimates

Financial Summary

Exhibit 14: BYD: Financial Summary

Income Statement					
(Rmb m)	2024	2025E	2026E	2027E	2028E
Auto Sales Volume	4,272,145	4,602,436	5,176,236	5,721,710	6,187,411
Revenue	777,102	803,965	912,565	999,719	1,080,301
COGS	(626,047)	(661,305)	(748,242)	(815,467)	(877,401)
Gross Profit	151,056	142,660	164,323	184,232	202,910
Other operating income	13,367	14,814	13,702	13,502	13,324
Selling and distribution expenses	(24,085)	(26,185)	(28,809)	(30,561)	(31,944)
Administrative expenses	(18,645)	(20,200)	(22,016)	(23,119)	(23,902)
Research and development costs	(53,195)	(57,978)	(63,985)	(68,096)	(71,424)
Other operating expenses	(18,012)	(12,505)	(15,805)	(15,212)	(15,621)
Operating Profit	50,486	40,165	47,410	60,746	73,043
Non-Operating Income	1,252	1,132	1,192	1,162	1,177
Non-Operating Expense	(2,057)	(1,564)	(1,810)	(1,687)	(1,749)
Profit Before Tax	49,681	39,753	46,791	60,221	72,471
Income Tax Expense	(8,093)	(5,992)	(7,447)	(9,584)	(11,534)
Profit After Tax	41,588	33,761	39,344	50,637	60,937
Minority interests	(1,334)	(1,142)	(1,331)	(1,712)	(2,061)
Net Profit	40,254	32,619	38,013	48,924	58,876
EPS (Rmb)	4.61	3.61	4.21	5.42	6.52
Cash Flow Statement					
(Rmb m)	2024	2025E	2026E	2027E	2028E
Cash Flow from Investing Activities	(129,062)	(197,463)	(132,841)	(142,841)	(152,841)
Cash Flow from Financing Activities	(10,268)	104,614	(16,908)	(21,761)	(26,187)
Effect from foreign exchange	(460)	6,400	-	-	-
Change in Cash	(6,356)	(27,314)	4,354	10,561	21,693
Beginning Cash	109,094	102,739	75,425	73,778	90,340
Ending Cash	102,739	75,425	79,778	90,340	112,033
Growth and Margins					
	2024	2025E	2026E	2027E	2028E
Revenue growth	20.0%	3.8%	13.5%	9.6%	8.1%
Gross profit growth	35.0%	-5.8%	15.2%	12.1%	10.1%
Operating profit growth	32.5%	-20.4%	18.0%	28.1%	20.2%
Net profit growth	34.0%	-19.0%	16.5%	28.7%	20.3%
Gross margin	19.4%	17.7%	18.0%	18.4%	18.8%
Operating margin	6.5%	5.0%	5.2%	6.1%	6.8%
Net margin	5.2%	4.1%	4.2%	4.9%	5.4%
Balance Sheet					
(Rmb m)	2024	2025E	2026E	2027E	2028E
Cash and Cash Equivalents	102,739	75,425	79,778	90,340	112,033
Financial Asset Held for Trading	40,939	54,533	54,533	54,533	54,533
Trade Receivables	62,299	37,005	42,003	46,015	49,724
Prepayments and Other Receivables	18,040	13,663	15,508	16,989	18,359
Inventories	116,036	138,421	157,118	172,124	185,998
Contract Assets	1,411	1,165	1,165	1,165	1,165
Long-Term Receivables due within One Year	11,379	20,534	20,534	20,534	20,534
Other Current Assets	17,729	30,723	30,723	30,723	30,723
Total current assets	370,572	371,468	401,363	432,422	473,068
Fixed Assets	282,287	292,776	337,185	375,080	408,430
Construction in Progress	19,954	48,294	48,294	48,294	48,294
Right of Use Assets	10,575	9,083	7,566	6,024	4,457
Intangible Assets	38,424	41,485	44,189	46,535	48,524
Other non-current assets	81,543	120,625	120,625	120,625	120,625
Total non-current assets	412,784	512,262	557,868	597,557	630,329
Total Assets	783,356	883,730	959,231	1,029,980	1,103,397
Short-Term Borrowings	12,103	38,485	38,485	38,485	38,485
Trade Payables	241,643	186,742	211,292	230,281	247,790
Contract Liabilities	43,730	51,471	51,471	51,471	51,471
Other Payables	144,989	119,483	135,623	148,575	160,551
Other Current Liabilities	53,520	72,270	73,732	74,904	75,989
LT interest bearing borrowings	8,258	60,706	60,706	60,706	60,706
Other liabilities	80,425	96,034	106,948	115,707	123,805
Total non-current liabilities	88,682	156,739	167,654	176,412	184,511
Total liabilities	584,668	625,191	676,256	720,129	758,796
Share capital	2,909	9,117	9,117	9,117	9,117
Capital reserve	75,574	114,011	114,011	114,011	114,011
Undistributed profit	98,948	116,257	137,163	164,326	197,015
Other equity	8,120	7,089	7,089	7,089	7,089
Non-controlling interests	13,437	12,265	13,595	15,308	17,368
Total equity	198,688	258,539	280,975	309,851	344,601
Total equity and liabilities	783,356	883,730	959,231	1,029,980	1,103,397

Source: Company data, Morgan Stanley Research estimates (E)

Risk Reward – BYD Company Limited (1211.HK)

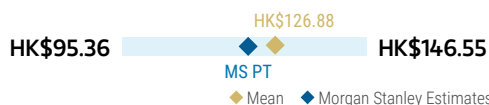
Global EV bellwether with smart driving and global ambitions

PRICE TARGET HK\$121.00

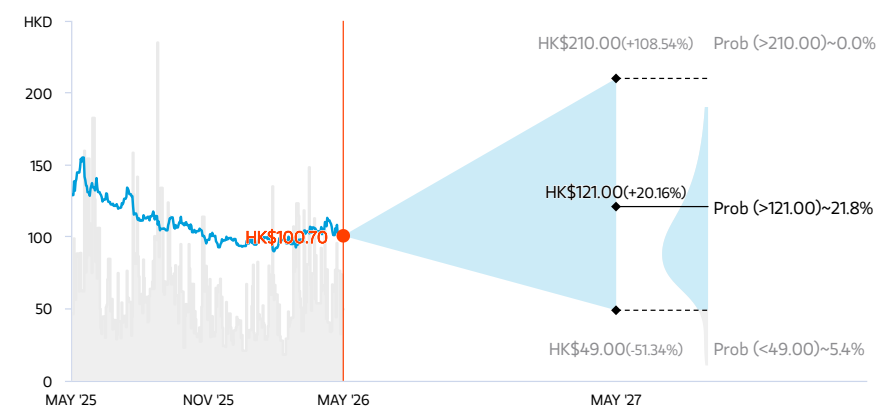
Blended methodology, weighted 25% bull, 50% base, 25% bear. We think incremental volume from ADAS adoption and trade-in stimulus extension could partially offset the fierce competitive landscape in the mass market segment.

- Bull: SOTP, implying 40x 2026E bull P/E. Reflects re-rating of comps (CATL, EV startups).
- Base: DCF (14.3% WACC, 3.0% long-term growth).
- Bear: 12x 2026E P/E - worse auto sales domestically and overseas, more severe price cuts.

Consensus Price Target Distribution



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)

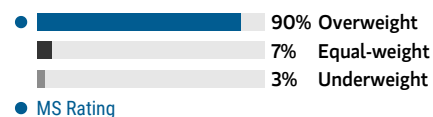


Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 7 May 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

OVERWEIGHT THESIS

- We expect BYD to enjoy greater advantages in cost competition and bargaining power with the supply chain vs. other Chinese OEMs, given its vertically integrated supply chain and growing scale.
- We think BYD's efforts to democratize ADAS and ultra fast charging technology in the mass market segment could eventually transform BYD into a smart driving technology enabler.
- BYD's PHEV offerings could be highly price-competitive in emerging markets where charging infrastructure is undeveloped, while it could help bypass EV tariffs in developed markets.

Consensus Rating Distribution



Risk Reward Themes

Disruption:	Negative
Electric Vehicles:	Positive
Pricing Power:	Positive

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

HK\$210.00

40x 2026E bull-case P/E

Rapid global expansion and domestic recovery: Our SOTP-based bull-case value is mainly to benchmark: 1) BYD's whole EV business with that of leading EV startups; 2) BYD's battery business with CATL; and 3) BYDE with its recent closing market cap.

BASE CASE

HK\$112.00

25x 2026E base-case P/E

2nd gen blade battery to lead domestic recovery while overseas share gain continues: We use DCF to derive our base-case valuation. We factor in 10%+ volume CAGR and 20%+ earnings CAGR from 2026-28. We expect steady ASP and unit profit to rise, with a higher proportion of overseas and premium sales offsetting ongoing price pressure in the mass market.

BEAR CASE

HK\$49.00

12x 2026E bear-case P/E

Worse-than-expected auto sales and EV battery business: We assume worse-than-expected auto sales both domestically and overseas as several emerging markets enter economic recession, while BYD cuts prices more aggressively in response to fiercer EV competition. We factor in minimum external battery sales and lower auto sales volume.

Risk Reward – BYD Company Limited (1211.HK)

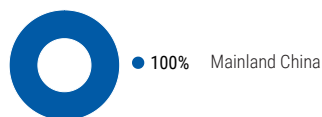
KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
NEV PV Sales Volume (Rmb, mn)	4,545,423	5,113,275	5,652,171	6,110,592
NEV CV Sales Volume (Rmb, mn)	57,013	62,960	69,540	76,819
Revenue (Rmb, mn)	803,965	912,565	999,719	1,080,301
Gross Profit (Rmb, mn)	142,660	164,323	184,232	202,810
EPS (Rmb)	4	4	5	7

INVESTMENT DRIVERS

- EV sales
- ASP trend
- Overseas sales

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

5/5
MOST

3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- New model launches
- Faster-than-expected overseas expansion
- Stronger-than-expected demand for NEVs globally

RISKS TO DOWNSIDE

- Lack of progress in overseas expansion amid rising protectionism
- Weaker-than-expected demand for NEVs globally
- Worse-than-expected gross margin

OWNERSHIP POSITIONING

Inst. Owners, % Active 51.2%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e

Sales / Revenue (Rmb, mn) 792,633.0 **912,564.9** 1,085,122.0
931,689.0

EBITDA (Rmb, mn) 99,460.1 **135,318** 143,796.0
127,671.4

Net income (Rmb, mn) 31,093.0 **38,013** 52,479.7
40,804.9

EPS (Rmb) 3.4 **4.2** 5.5
4.5

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Risk Reward – BYD Company Limited (002594.SZ)

Global EV bellwether with smart driving and global ambitions

PRICE TARGET Rmb120.00

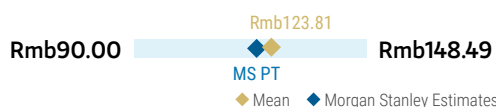
Blended methodology, weighted 25% bull, 50% base, 25% bear. We think incremental volume from ADAS adoption and trade-in stimulus extension could partially offset the fierce competitive landscape in the mass market segment.

We apply a 5% premium to our H-share bull and bear case scenario values; no premium in our bear case.

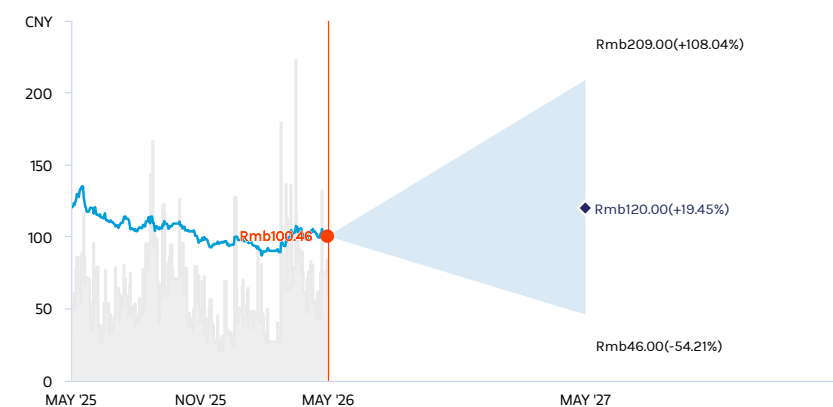
We use an exchange rate of 1.06 RMB/HKD.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



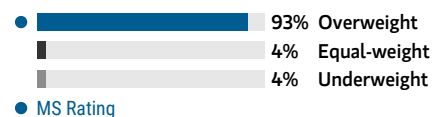
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

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Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Disruption: *Positive*

Electric Vehicles: *Positive*

Pricing Power: *Negative*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

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40x 2026E bull case P/E

Rapid global expansion and domestic recovery: Our SOTP-based bull-case value is mainly to benchmark: 1) BYD's whole EV business with that of leading EV startups; 2) BYD's battery business with CATL; and 3) BYDE with its recent closing market cap.

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Rmb112.00

25x 2026E base case P/E

2nd gen blade battery to lead domestic recovery while overseas share gain continues: We use DCF to derive our base-case valuation. We factor in 10%+ volume CAGR and 20%+ earnings CAGR from 2026-28. We expect steady ASP and unit profit to rise, with a higher proportion of overseas and premium sales offsetting ongoing price pressure in the mass market.

BEAR CASE

Rmb46.00

12x 2026E bear case P/E

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Risk Reward – BYD Company Limited (002594.SZ)

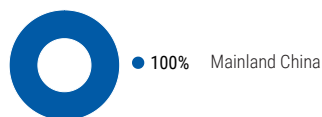
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- EV sales
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Source: Morgan Stanley Research Estimate
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MS ALPHA MODELS

5/5
MOST
3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- New model launch schedule
- Faster-than-expected overseas expansion
- Stronger-than-expected demand for NEVs globally

RISKS TO DOWNSIDE

- Lack of progress in overseas expansion amid rising protectionism
- Weaker-than-expected demand for NEVs
- Worse-than-expected gross margin

OWNERSHIP POSITIONING

Inst. Owners, % Active 72.6%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e

Sales / Revenue (Rmb, mn) 792,633.0 912,564.9 1,085,122.0
940,357.5

EBITDA (Rmb, mn) 99,460.1 135,318 156,279.0
125,703.7

Net income (Rmb, mn) 31,093.0 38,013 52,251.0
42,509.9

EPS (Rmb) 3.4 4.2 5.7
4.7

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

GWM (2333.HK/601633.SS); EW/UW

Estimate Changes

We incorporate GWM's 2025 actual shipments and lower our 2026/27 shipment forecasts by 1-2% to 1.37mn/1.41mn units, respectively, and we introduce 2028 shipment estimate at 1.45mn units.

We revise down our 2026-27 GPM estimates by 1.4/1.1pt to 18.8%/19.2% to reflect ongoing raw material cost inflation and fiercer competition both domestically and overseas.

Meanwhile, we also model lower non-operating income in 2026-28 given volatility in tax rebates from Russia. We look for Rmb3.4bn non-operating income in 2026.

Our 2026-27 net profit forecasts go down by 30-32% to Rmb9.8/11bn, implying unit profit of Rmb7.2/7.8k for 2026/27; we introduce 2028 net profit estimate at Rmb12.2bn, implying unit profit of Rmb8.4k. Our 2026-28 EPS estimates fall by 27-29%.

Exhibit 15: GWM: Estimate revisions

GWM (2333.HK ; 601633.SS) (Rmb m)	New			Old			Change		
	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
Auto sales volume (units)	1,365,772	1,407,874	1,448,677	1,370,748	1,431,311		-0.4%	-1.6%	
Revenue	227,808	232,698	237,317	223,240	230,804		2.0%	0.8%	
Gross Profit	42,815	44,618	46,456	44,970	46,814		-4.8%	-4.7%	
Net Profit	9,821	10,962	12,172	14,497	15,581		-32.3%	-29.6%	
EPS	1.12	1.25	1.38	1.59	1.71		-29.3%	-26.9%	
Margins									
Gross Margin	18.8%	19.2%	19.6%	20.1%	20.3%		-1.4pt	-1.1pt	
Net Margin	4.3%	4.7%	5.1%	5.8%	6.0%		-1.5pt	-1.3pt	
Net Profit per vehicle (Rmb)	7,191	7,786	8,402	9,405	9,670		-23.5%	-19.5%	

Source: Morgan Stanley Research (E) estimates

Valuation Methodology

We continue to use DCF methodology to value Great Wall's H-shares. Our DCF assumptions are unchanged: WACC of 11.5% and a long-term growth rate assumption of 3%. Reflecting the aforementioned estimates changes, our H-share price target (base case scenario value) goes down by 20% to HK\$12, implying 11x 2026e P/E. Meanwhile, we continue to apply a 25% premium to our H-share PT to derive our A-share PT, which decrease by 18% to Rmb14, implying 13x 2026e P/E.

Exhibit 16: GWM: DCF valuation

Rmb mn	2023A	2024A	2025E	2026E	2027E	2028E	2029E	2030E	2031E	2032E
Turnover	173,212	202,194	222,824	227,808	232,698	237,352	242,099	246,941	251,880	256,917
YoY%	0%	0%	10%	2%	2%	2%	2%	2%	2%	2%
Pre-tax profit (EBIT)	5,378	10,109	5,267	7,439	8,716	8,890	9,068	9,249	9,434	9,623
EBIT margin	3%	5%	2%	3%	4%	4%	4%	4%	4%	4%
YoY%	0%	0%	0%	0%	0%	2%	2%	2%	2%	2%
+Depreciation & Amortization	4,544	5,462	11,029	12,518	13,859	14,136	14,419	14,708	15,002	15,452
EBITDA	12,992	19,989	16,295	19,958	22,575	23,027	23,487	23,957	24,436	25,075
-Less Adjusted taxes	(801)	(1,566)	(1,893)	(1,884)	(2,103)	(1,334)	(1,360)	(1,387)	(1,415)	(1,443)
- Capital expenditure	(16,713)	(11,737)	(10,564)	(9,507)	(8,557)	(7,068)	(7,210)	(7,354)	(7,501)	(7,726)
+/- Changes in working capital	2,662	4,198	(903)	(14)	(78)	(56)	(57)	(58)	(59)	(60)
Free cash flow	(1,860)	10,884	2,935	8,552	11,838	14,569	14,860	15,158	15,461	15,845
Discount factor	1.00	1.00	1.11	1.24	1.39	1.55	1.72	1.92	2.14	2.39
PV	(1,860)	10,884	2,633	6,880	8,541	9,427	8,624	7,890	7,218	6,635
Terminal Value										
Corporate NPV	91,527									
Minorities	(8)									
Net (debt)/cash	12,482									
Equity NPV	104,001									
NOSH	9,127									
NPV Per share	11.4									
Exchange rate	1.09									
H-share PT (HK\$)	12									
A-share PT (Rmb)	14									

Cost of equity (%)		Cost of debt (%)	
Risk free rate (%)	3.6	Average spread over risk-free rate (%)	1.2
Beta	1.65	Pre-tax cost of debt (%)	4.8
HK Equity risk premium (%)	3.0	Average corporate tax rate for company (%)	25.0
China Equity risk premium (%)	3.0	Post-tax cost of debt (%)	3.6
CAPM unleveraged discount rate	13.5	Estimated target gearing (net debt/EV) (%)	20.0
WACC (%)	11.5		

Source: Company data, Morgan Stanley Research (E) estimates.

Financial Summary

Exhibit 17: GWM: Financial Summary

Income Statement						Financial Analysis					
(Rmb Mn)	2024A	2025A	2026E	2027E	2028E		2024A	2025A	2026E	2027E	2028E
Revenue	202,194	222,824	227,808	232,698	237,317	Growth (%)					
Cost of sales	(162,752)	(162,622)	(164,993)	(168,080)	(190,862)	Turnover	16.7%	10.2%	2.2%	2.1%	2.0%
Gross profit	39,442	40,202	42,815	44,618	46,456	Operating Profit	88.0%	47.9%	41.3%	17.2%	15.6%
Business tax and surcharges	(7,410)	(8,483)	(8,673)	(8,859)	(9,035)	Net Profit	80.3%	-22.1%	-0.4%	11.6%	11.0%
Selling expenses	(7,832)	(11,273)	(11,297)	(11,424)	(11,532)	Margins (%)					
Administrative expenses	(14,090)	(15,179)	(15,405)	(15,619)	(15,810)	Gross Margin	19.5%	18.0%	18.8%	19.2%	19.6%
Other operating expenses	-	-	-	-	-	Operating Margin	5.0%	2.4%	3.3%	3.7%	4.2%
Operating profit	10,109	5,267	7,439	8,716	10,078	Net Margin	6.3%	4.4%	4.3%	4.7%	5.1%
Finance costs	(99)	1,970	800	800	800	Efficiency					
Impairment loss on assets	(779)	(589)	(589)	(589)	(589)	Asset Turnover (X)	0.93	0.98	0.97	0.96	0.94
Gain / loss from changes in fair value	42	167	167	167	167	Inventory Days	57	57	57	57	57
Investment income	881	574	587	599	611	Receivables Days	17	17	17	17	17
Non-operating income	4,133	4,483	3,417	3,490	3,560	Payable Days	26	26	26	26	26
Non-operating expenses	(62)	(113)	(115)	(118)	(120)	Return (%)					
Income tax expenses	(1,566)	(1,893)	(1,884)	(2,103)	(2,335)	ROA	6.0%	4.4%	4.2%	4.6%	4.9%
Minority interests	(0)	-	-	-	-	ROE	17.2%	12.0%	11.0%	11.4%	11.6%
Net profit	12,660	9,865	9,821	10,962	12,172	Gearing (X)					
EPS (Rmb)	1.39	1.08	1.08	1.20	1.33	Asset/Equity	2.8	2.7	2.5	2.4	2.3
MW EPS (Rmb)	1.45	1.13	1.12	1.25	1.38	Total Liabilities/Equity	1.8	1.7	1.5	1.4	1.3
						Total IB Debt/Equity	0.2	0.2	0.2	0.2	0.2
						Net Interest Coverage	763	764	765	766	767
Balance Sheet						Financial Analysis					
(Rmb Mn)	2024A	2025A	2026E	2027E	2028E	(Rmb Mn)	2024A	2025A	2026E	2027E	2028E
Non-current assets	83,831	83,366	80,355	75,053	67,687	Cash fr oper. activi	27,750	19,990	22,326	24,744	27,176
PPE	31,844	31,380	28,369	23,066	15,701	Cash fr inv. activi	(23,296)	(10,564)	(9,507)	(8,557)	(7,701)
Prepaid land premium (Long term pn	12,907	12,907	12,907	12,907	12,907	Cash fr fin. activities	(12,178)	(2,995)	(2,992)	(3,328)	(3,695)
Construction in progress	3,960	3,960	3,960	3,960	3,960	Inc in cash & bank equival	(7,723)	6,431	9,837	12,859	15,779
Intangible assets	12,345	12,345	12,345	12,345	12,345	Cash & bank equival b/f	35,272	27,177	33,609	43,445	56,304
Investments in associates	0	0	0	0	0	Cash & bank equival o/f	27,177	33,609	43,445	56,304	72,084
Long term investments	13,323	13,323	13,323	13,323	13,323						
Other long-term assets	9,452	9,452	9,452	9,452	9,452						
Current assets	133,435	144,268	154,796	168,453	184,964						
Inventories	25,408	28,510	29,880	29,362	29,796						
Trade and bills receivables	9,638	10,622	10,859	11,093	11,313						
Other receivables	3,411	3,759	3,843	3,926	4,004						
Prepayments	1,942	1,942	1,942	1,942	1,942						
Pledged bank deposits	3,531	3,531	3,531	3,531	3,531						
Cash and cash equivalents	27,210	33,609	43,445	56,304	72,084						
Other current assets	62,295	62,295	62,295	62,295	62,295						
Current liabilities	122,229	125,759	126,437	127,157	127,827						
Trade payables	11,711	13,141	13,312	13,534	13,734						
Bills payables	79,571	79,571	79,571	79,571	79,571						
Other payables, advance from custo	20,584	22,684	23,191	23,689	24,159						
Short term bank loans	6,665	6,665	6,665	6,665	6,665						
Other current liabilities	3,698	3,698	3,698	3,698	3,698						
Non-current liabilities	16,041	16,041	16,041	16,041	16,041						
Long term bank loan	11,594	11,594	11,594	11,594	11,594						
Deferred income tax liabilities	3,455	3,455	3,455	3,455	3,455						
Deferred tax liabilities	992	992	992	992	992						
Minority interests	8	8	8	8	8						
Shareholders' equity	78,988	85,858	92,697	100,331	108,807						
Issued capital	8,892	8,892	8,892	8,892	8,892						
Share premium	3,626	3,626	3,626	3,626	3,626						
Retained earnings	61,431	68,301	75,141	82,775	91,251						
AOCI	5,039	5,039	5,039	5,039	5,039						

Source: Company data, Morgan Stanley Research estimates (E)

Risk Reward – Great Wall Motor Company Limited (2333.HK)

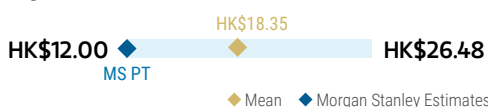
NEV transition - a long road ahead

PRICE TARGET HK\$12.00

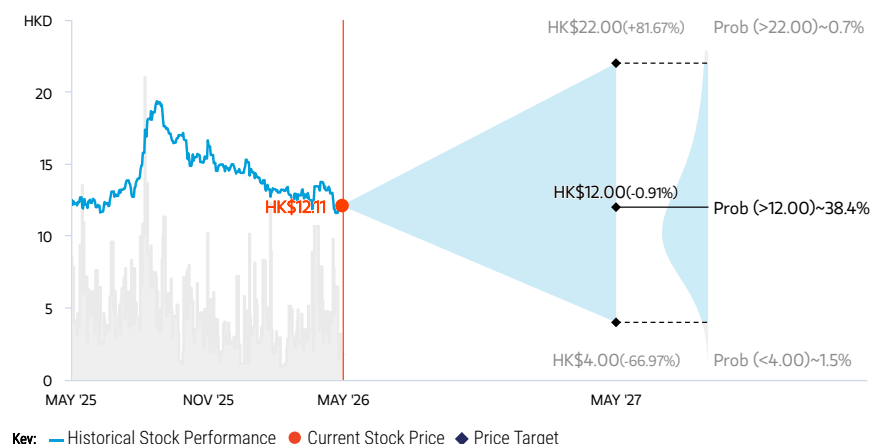
Base case DCF; WACC of 11.5% and terminal growth of 3%.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 8 May 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

BULL CASE

HK\$22.00

20x 2026E P/E

Stronger-than-expected SUV sales and margin expansion: Haval's new models see better-than-expected sales volume. The Haval brand achieves higher-than-expected sales volume with fewer-than-expected discounts, therefore gross margin surprises on the upside. More modest supply shortage than expected.

BASE CASE

HK\$12.00

11x 2026E P/E

Deferred tax rebates from Russia and new models under Ora and WEY's new platforms may power stronger earnings recovery in 2026. That said, we stay cautious on fiercer domestic headwinds in 2026, while Russian demand uncertainties remain an overhang.

BEAR CASE

HK\$4.00

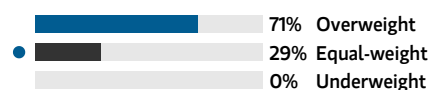
3x 2026E P/E

Tougher-than-expected competition in the SUV segment: Fierce competition in the SUV segment along with price competition drags down prices and margins for GWM in 2026.

EQUAL-WEIGHT THESIS

- The company's product premiumization remains intact with the rollout of the Tank series, but its NEV strategy looks a bit conservative compared to peers.
- Despite exports sustaining good momentum, overseas sales could face growing margin pressure from Russia's scrappage tax hike and higher tariffs in Brazil.
- With local peers rolling out L2 ADAS features on mass market models, GWM may need to either accelerate the ADAS rollout or cut prices to stay competitive.

Consensus Rating Distribution



● MS Rating

Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Electric Vehicles: *Positive*

Pricing Power: *Negative*

View descriptions of Risk Rewards Themes [here](#)

Risk Reward – Great Wall Motor Company Limited (2333.HK)

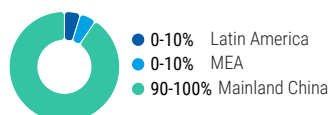
KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Haval Sales Volume	935,803.7	982,593.9	1,031,723.6	1,083,309.7
Haval ASP (Rmb)	111,035	114,366	117,797	121,331
WEY Sales Volume	93,466	102,813	113,094	124,403
WEY ASP (Rmb)	188,175	197,584	207,463	217,836
Ora Sales Volume	267,745	307,906	354,092	407,206

INVESTMENT DRIVERS

- Sales of Haval brand
- Sales of WEY brand
- Sales of ORA brand
- Pickup in sales

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

1/5
MOST

3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Higher-than-expected adjusted profitability in 2026.
- Better SUV sales in China.
- Successful ramp-up of new SUVs in 2026.
- Successful turnaround for WEY brand via hybrid model introduction.

RISKS TO DOWNSIDE

- Lower-than-expected profitability in 2026.
- Deterioration of SUV demand in China.
- Disrupted margin expansion amid any intensified competition.

OWNERSHIP POSITIONING

Inst. Owners, % Active **23.7%**

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e

Sales / Revenue (Rmb, mn) **227,807.7** **253,665.8** 280,413.9

EBITDA (Rmb, mn) 15,683.7 **19,958** **21,015.7** 26,055.0

Net income (Rmb, mn) 8,212.0 **10,263** **11,836.0** 15,413.3

EPS (Rmb) 1.0 **1.1** **1.4** 1.8

◆ Mean ◆ Morgan Stanley Estimates
Source: Refinitiv, Morgan Stanley Research

Risk Reward – Great Wall Motor Company Limited (601633.SS)

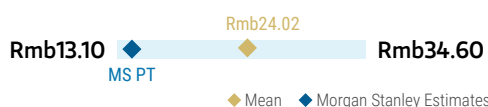
NEV transition - a long road ahead; valuation appears stretched

PRICE TARGET Rmb14.00

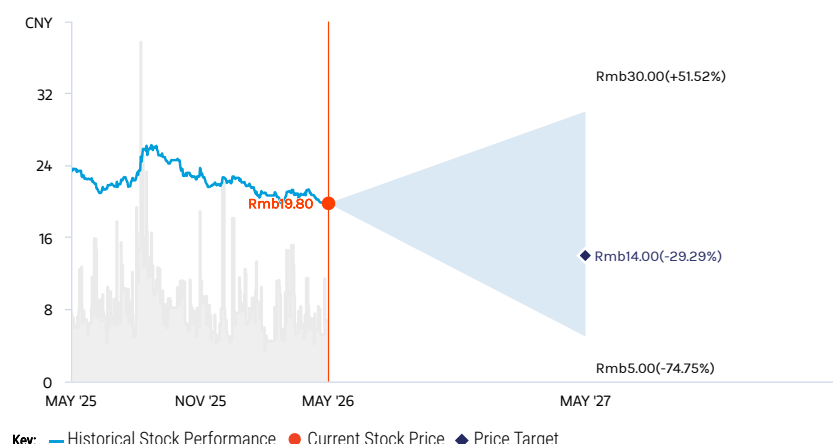
We apply a 25% premium to our H-share PT, reflecting the level where arbitrage trades in dual-listed situations become largely uneconomical.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART

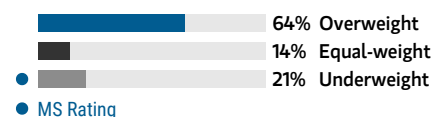


Source: Refinitiv, Morgan Stanley Research

UNDERWEIGHT THESIS

- The company's product premiumization remains intact with the rollout of the Tank series, but its NEV strategy looks a bit conservative compared to peers.
- Despite exports sustaining good momentum, overseas sales could face growing margin pressure from Russia's scrappage tax hike and higher tariffs in Brazil.
- With local peers rolling out L2 ADAS features on mass market models, GWM may need to either accelerate the ADAS rollout or cut prices to stay competitive.
- We are UW on GWM-A due to our view of its stretched valuation.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Electric Vehicles: *Positive*

Pricing Power: *Negative*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

Rmb30.00

27x 2026E P/E

Stronger-than-expected SUV sales and margin expansion: Haval's new models see better-than-expected sales volume. The Haval brand achieves higher-than-expected sales volume with fewer-than-expected discounts, therefore gross margin surprises on the upside. We assign a 50% A-H share premium in the bull case (average level since 2019), vs. 20% for the base and bear cases, to capture the extreme A-share sentiment.

BASE CASE

Rmb14.00

13x 2026E P/E

Deferred tax rebates from Russia and new models under Ora and WEY's new platforms may power stronger earnings recovery in 2026. That said, we stay cautious on fiercer domestic headwinds in 2026, while Russian demand uncertainties remain an overhang.

BEAR CASE

Rmb5.00

4x 2026E P/E

Tougher-than-expected competition in the SUV segment: Fierce competition in the SUV segment drags down prices and margins for GWM in 2026.

Risk Reward – Great Wall Motor Company Limited (601633.SS)

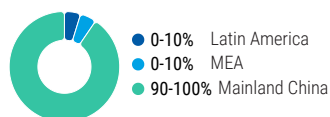
KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
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INVESTMENT DRIVERS

- Sales of Haval brand
- Sales of WEY brand
- Sales of ORA brand
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GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

1/5
MOST 3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Higher-than-expected profitability in 2026
- Successful ramp-up of new SUVs in 2026
- Successful turnaround for WEY brand
- Expanding A/H premium

RISKS TO DOWNSIDE

- Lower-than-expected profitability in 2026, from higher spending on sales and marketing with new model introduction
- Disrupted margin expansion amid any intensified competition
- Deterioration of SUV demand in China
- Narrowing A/H premium

OWNERSHIP POSITIONING

Inst. Owners, % Active 71.3%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e

Sales / Revenue (Rmb, mn) 227,807.7 256,240.3 280,413.9

EBITDA (Rmb, mn) 15,683.7 19,958 21,525.2 27,996.0

Net income (Rmb, mn) 9,144.0 10,263 12,410.4 16,796.0

EPS (Rmb) 1.1 1.1 1.4 2.0

◆ Mean ◆ Morgan Stanley Estimates
Source: Refinitiv, Morgan Stanley Research

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG_Sustainable_Solutions_External_Link.pdf](#)
5. View explanation of HERS methodology - [ESG_HERS_External_Link.pdf](#)

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(as of April 30, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1546	42%	467	51%	30%	709	44%
Equal-weight/Hold	1568	43%	358	39%	23%	715	44%
Not-Rated/Hold	4	0%	0	0%	0%	1	0%
Underweight/Sell	555	15%	84	9%	15%	202	12%
Total	3,673		909			1627	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

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Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

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INDUSTRY COVERAGE: China Autos & Shared Mobility

COMPANY (TICKER)	RATING (AS OF)	PRICE* (05/11/2026)
Joey Xu, CFA		
Anhui Jianghuai Automobile (600418.SS)	E (08/19/2023)	Rmb51.40
BAIC Motor (1958.HK)	E (10/02/2025)	HK\$1.35
Brilliance China Automotive (1114.HK)	E (03/31/2025)	HK\$3.07
Chongqing Changan Automobile (000625.SZ)	E (03/03/2026)	Rmb9.30
Guangzhou Automobile Group (601238.SS)	U (10/23/2019)	Rmb6.95
Guangzhou Automobile Group (2238.HK)	O (05/05/2020)	HK\$2.75
Huayu Automotive (600741.SS)	O (09/08/2020)	Rmb18.12
Jiangsu Changshu Automotive Trim Group (603035.SS)	E (08/14/2023)	Rmb13.41
Ningbo Huaxiang Electronic Co., Ltd. (002048.SZ)	E (05/05/2026)	Rmb29.71
SAIC Motor Corp. Ltd. (600104.SS)	O (11/25/2021)	Rmb13.56
Voyah Automotive Technology Co. Ltd. (7489.HK)	O (03/31/2026)	HK\$5.74
Zhengzhou Yutong Bus Co (600066.SS)	E (09/22/2023)	Rmb35.66
Shelley Wang, CFA		
Beijing Jingwei Hirain Technologies (688326.SS)	U (09/27/2024)	Rmb90.65
Bethel Automotive Safety Systems Co Ltd (603596.SS)	O (12/11/2023)	Rmb32.39

Changzhou Xingyu Automotive Lighting Sys (601799.SS)	O (09/27/2024)	Rmb139.10
China MeiDong Auto Holdings Ltd (1268.HK)	E (01/08/2024)	HK\$1.00
China Yongda Automobiles Services (3669.HK)	E (08/13/2024)	HK\$1.01
Foryou Corporation (002906.SZ)	O (03/06/2024)	Rmb31.70
Fuyao Glass Industry Group (600660.SS)	E (12/01/2016)	Rmb59.40
Fuyao Glass Industry Group (3606.HK)	E (12/01/2016)	HK\$64.00
Huizhou Desay SV Automotive Co Ltd (002920.SZ)	O (02/28/2025)	Rmb104.47
Keboda (603786.SS)	O (01/17/2024)	Rmb56.75
Minth Group Limited (0425.HK)	O (08/24/2015)	HK\$40.96
NavInfo Co Ltd (002405.SZ)	U (03/06/2024)	Rmb9.40
Nexteer Automotive Group (1316.HK)	E (02/28/2025)	HK\$5.29
Ningbo Joyson Electronic Corp (600699.SS)	E (03/11/2026)	Rmb28.93
Ningbo Tuopu Group Co Ltd (601689.SS)	E (11/12/2025)	Rmb66.96
Ningbo Xusheng Group Co Ltd (603305.SS)	E (06/18/2025)	Rmb16.61
Suzhou Recodeal Interconnect System (688800.SS)	U (09/27/2024)	Rmb127.73
TUHU Car Inc (9690.HK)	O (07/29/2024)	HK\$13.59
Zhejiang Sanhua Intelligent Controls (002050.SZ)	E (11/12/2025)	Rmb51.21
Zhongsheng Group Holdings (0881.HK)	O (10/12/2021)	HK\$7.17
Tim Hsiao		
BAIC BluePark New Energy (600733.SS)	U (08/07/2024)	Rmb7.10
BYD Company Limited (002594.SZ)	O (04/14/2025)	Rmb100.44
BYD Company Limited (1211.HK)	O (04/14/2025)	HK\$101.70
EHang Holdings Ltd (EH.O)	O (03/13/2025)	US\$10.30
Geely Automobile Holdings (0175.HK)	O (06/26/2024)	HK\$22.44
Great Wall Motor Company Limited (601633.SS)	U (03/16/2022)	Rmb19.80
Great Wall Motor Company Limited (2333.HK)	E (01/08/2024)	HK\$11.91
Hesai Group (HSAI.O)	O (07/28/2025)	US\$21.60
Horizon Robotics (9660.HK)	O (12/02/2024)	HK\$6.87
Li Auto Inc. (LI.O)	O (08/24/2020)	US\$18.00
Li Auto Inc. (2015.HK)	O (11/16/2021)	HK\$73.85
NIO Inc. (9866.HK)	O (10/03/2022)	HK\$46.84
NIO Inc. (NIO.N)	O (08/26/2020)	US\$5.85
WeRide Inc (WRD.O)	O (11/19/2024)	US\$7.51
XPeng Inc. (9868.HK)	O (11/16/2021)	HK\$62.50
XPeng Inc. (XPEV.N)	O (01/29/2021)	US\$15.62

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* Historical prices are not split adjusted.